MORTGAGE AND SECURITY AGREEMENT

PALMETTO GATEWAY PARTNERS LLC (Borrower) TO CALVERLEY HERITAGE BANK (Lender)

Principal Amount: $14,750,000.00 — Tax Map Nos. 460-12-04-007, 460-12-04-008 and 460-12-04-009

Address: 520–534 King Street, Charleston, South Carolina 29403

Recorded in the Office of the Register of Mesne Conveyances for Charleston County, South Carolina

This instrument was prepared by Fielding, Ashworth & Cole LLP, Attorneys at Law, Charleston, South Carolina and Savannah, Georgia (counsel to Lender), and is to be returned after recording to Lender at the address set forth in Section 21.1.

PREAMBLE

THIS MORTGAGE AND SECURITY AGREEMENT (this "**Mortgage**") is made and entered into as of April 15, 2025 (the "**Closing Date**"), by and between **PALMETTO GATEWAY PARTNERS LLC**, a South Carolina limited liability company, having its principal office at 88 Broad Street, Suite 200, Charleston, South Carolina 29401, South Carolina Secretary of State Filing No. 2024-0011287, Federal Employer Identification No. 84-6213750 (together with its successors and assigns, "**Borrower**"), and **CALVERLEY HERITAGE BANK**, a Georgia state-chartered commercial bank insured by the Federal Deposit Insurance Corporation, having its principal office at 412 Whitaker Street, Savannah, Georgia 31401 (together with its successors and assigns, "**Lender**").

RECITALS

A. Lender has agreed to make a loan to Borrower in the original principal amount of Fourteen Million Seven Hundred Fifty Thousand and No/100 Dollars ($14,750,000.00) (the "**Loan**"), to be used to finance (i) Borrower's acquisition of the Property, (ii) the renovation of the Improvements, and (iii) closing costs and the funding of certain reserves, in each case on the terms and subject to the conditions set forth in that certain Term Sheet — Commercial Real Estate Loan dated April 1, 2025, executed by Lender and Borrower (Deal Reference CHB CRE Loan No. 2025-CHS-0047) (the "**Term Sheet**"), and in the other Loan Documents.

B. The Loan is evidenced by a Promissory Note of even date herewith made by Borrower payable to the order of Lender in the original principal amount of $14,750,000.00 (the "**Note**").

C. The Loan is to be secured by, among other things, a first-priority mortgage lien on, and security interest in, the Property, and by an absolute and present

assignment of all Leases and Rents, all as more particularly set forth in this Mortgage.

D. Neil Ashford Graydon, an individual residing at 14 Church Street, Charleston, South Carolina 29401 ("**Guarantor**"), is the managing member and sole owner of Graydon Development Group LLC, a South Carolina limited liability company, which is the Managing Member and the holder of seventy-two percent (72%) of the membership interests in Borrower. Guarantor has agreed to execute and deliver the Guaranty, the Completion Guaranty and the Payment Guaranty in favor of Lender, and Guarantor and Borrower have agreed to execute and deliver the Environmental Indemnity in favor of Lender.

E. Borrower is the fee simple owner of the Property by virtue of the deed from Hampstead Village Holdings LLC, a South Carolina limited liability company, to Borrower, recorded in the Office of the Register of Mesne Conveyances for Charleston County, South Carolina (the "**RMC Office**") simultaneously with the recording of this Mortgage, and this Mortgage is intended to be junior and subordinate only to the Permitted Exceptions.

F. As a condition to making the Loan, Lender has required that Borrower grant to Lender the liens, security interests, assignments and other rights set forth in this Mortgage, and Borrower has agreed to do so.

NOW, THEREFORE, in consideration of the premises, the making of the Loan, and the sum of Ten Dollars ($10.00) and other good and valuable consideration, the receipt and sufficiency of which are hereby acknowledged, Borrower hereby grants, bargains, sells, aliens, remises, releases, conveys, mortgages, assigns, transfers and sets over to Lender, and grants to Lender a lien upon and security interest in, all of Borrower's estate, right, title, interest, claim and demand, whether now owned or hereafter acquired, in, to and under the following property, rights, interests and privileges (collectively, and together with all Proceeds thereof, the "**Property**"):

ARTICLE 1 — DEFINITIONS AND INTERPRETATION

1.1 Defined Terms

For purposes of this Mortgage, the following terms have the meanings set forth below. Capitalized terms used but not defined in this Mortgage have the meanings given to them in the Note or, if not defined in the Note, in the other Loan Documents.

"**Annual Debt Service**" means, for any period, the aggregate amount of Debt Service that would be payable during such period on the outstanding principal amount of the Loan, calculated (a) in the case of any period during the Interest-Only Period, on the basis of interest only at the greater of (i) the Interest Rate in effect on the date of determination and (ii) the sum of the SOFR Floor plus the Applicable Spread, and (b) in the case of any period after the Interest-Only Period, on the basis of level monthly payments of principal and interest sufficient to fully amortize the outstanding principal amount of the Loan over a twenty-five (25) year

amortization period at the greater of (i) the Interest Rate in effect on the date of determination and (ii) the sum of the SOFR Floor plus the Applicable Spread.

"**Applicable Spread**" means two and eighty-five hundredths percent (2.85%) per annum.

"**Affiliate**" means, with respect to any Person, any other Person that directly or indirectly controls, is controlled by, or is under common control with, such Person, and "control" has the meaning given to such term in the Operating Agreement.

"**Assignment of Leases and Rents**" means the absolute and present assignment of all Leases and Rents contained in Article 3 of this Mortgage.

"**Business Day**" means any day other than a Saturday, a Sunday or a day on which commercial banks in Savannah, Georgia or Charleston, South Carolina are authorized or required by law to close.

"**Capital Replacement Reserve**" has the meaning given in Section 6.2.

"**Collateral**" means the Property and all other property, rights and interests in which a security interest is granted to Lender under this Mortgage.

"**Completion Guaranty**" means the Completion Guaranty of even date herewith executed by Guarantor in favor of Lender, as the same may be amended, restated, supplemented or otherwise modified from time to time.

"**Construction Contract**" means that certain construction contract between Borrower, as owner, and the Contractor, as general contractor, providing for a contract sum of Two Million Eight Hundred Fifty Thousand and No/100 Dollars ($2,850,000.00) covering hard costs of construction, together with all schedules, exhibits, change orders and amendments thereto.

"**Contractor**" means Beaufort Builders Group LLC, a South Carolina limited liability company, South Carolina General Contractor License No. SC-GC-47921.

"**Daily SOFR**" means the Secured Overnight Financing Rate as published by the Federal Reserve Bank of New York (or a successor administrator) on the applicable Business Day or, if such rate is not published on such Business Day, the rate published on the immediately preceding Business Day.

"**DSCR**" has the meaning given in Section 13.1.

"**DSCR Test Date**" means the last day of each calendar quarter beginning with the calendar quarter ending June 30, 2027, and thereafter the last day of each successive calendar quarter during the term of the Loan.

"**Default Rate**" means a rate per annum equal to the Interest Rate otherwise applicable plus five percent (5.00%) per annum.

"**Environmental Indemnity**" means the Environmental Indemnity Agreement of even date herewith executed by Borrower and Guarantor in favor of Lender, as the

same may be amended, restated, supplemented or otherwise modified from time to time.

"**Environmental Laws**" means all federal, state and local statutes, ordinances, regulations, orders, permits and requirements relating to pollution, the protection of the environment, human health and safety as affected by the environment, or the use, storage, generation, treatment, transportation, disposal or release of Hazardous Materials, including without limitation the Comprehensive Environmental Response, Compensation, and Liability Act, 42 U.S.C. § 9601 *et seq.*, and the South Carolina Hazardous Waste Management Act and regulations promulgated thereunder.

"**Escrow Funds**" has the meaning given in Section 6.1.

"**Event of Default**" has the meaning given in Section 16.1.

"**Guaranty**" means the Guaranty Agreement of even date herewith executed by Guarantor in favor of Lender, as the same may be amended, restated, supplemented or otherwise modified from time to time.

"**Hazardous Materials**" means petroleum and petroleum products, perchloroethylene and other volatile organic compounds, asbestos, polychlorinated biphenyls, urea formaldehyde, radon, mold, and any other substance, material or waste regulated as hazardous or toxic under any Environmental Laws.

"**Improvements**" means all buildings, structures, fixtures, building systems and other improvements of every kind now or hereafter located on, in or under the Land, including without limitation the mixed-use building containing approximately 11,400 square feet of ground-floor retail space and approximately 19,600 square feet of upper-floor office space (approximately 31,000 square feet of gross building area in the aggregate), and all HVAC equipment, elevators, plumbing, electrical systems and fire protection systems.

"**Independent Manager**" means a natural person who (a) is not, and has not been within five (5) years prior to his or her appointment, a member, manager, officer, employee, creditor, supplier, customer or contractor of Borrower, any Member, or any Affiliate of any of them, (b) has no direct or indirect economic interest in Borrower, any Member or any of their respective Affiliates, and (c) is not otherwise affiliated with Borrower, any Member or any of their respective Affiliates.

"**Interest-Only Period**" means the period commencing on the Closing Date and ending on April 15, 2027.

"**Interest Rate**" means, for any day, a rate per annum equal to the sum of (a) the greater of (i) Daily SOFR for such day and (ii) the SOFR Floor, plus (b) the Applicable Spread.

"**Land**" means the real property described in Exhibit A attached hereto and incorporated herein by reference, being Lots 7, 8 and 9 of the Hampstead Village Plat, as recorded in Plat Book 41 at Page 218, in the RMC Office, together with that certain strip of land formerly known as Anson Lane, vacated by City of

Charleston Ordinance No. 2019-084 and conveyed by quitclaim deed recorded in Deed Book 1128 at Page 443, in the RMC Office, and being identified as Charleston County Tax Map Nos. 460-12-04-007, 460-12-04-008 and 460-12-04-009, and commonly known as 520–534 King Street, Charleston, South Carolina 29403.

“**Leases**” means all present and future leases, subleases, subsubleases, licenses, concessions, occupancy agreements and other agreements (whether written or oral) pursuant to which any Person is granted a right to use or occupy all or any portion of the Property, together with all guaranties, letters of credit, security and other credit support for the obligations of the tenants thereunder.

“**Loan Documents**” means, collectively, the Note, this Mortgage, the Assignment of Leases and Rents, the Guaranty, the Completion Guaranty, the Payment Guaranty, the Environmental Indemnity, the UCC-1 financing statements and fixture filings described in Section 2.4, each reserve, escrow or similar agreement between Borrower and Lender, the Operating Agreement Amendment, and each other document, instrument, certificate or agreement now or hereafter executed by Borrower, Guarantor or any other Person in connection with the Loan, as each may be amended, restated, supplemented or otherwise modified from time to time.

“**Lockout Period**” means the period commencing on the Closing Date and ending on April 15, 2027.

“**LUR**” means that certain land use restriction and institutional control recorded in Deed Book 1203 at Page 89, in the RMC Office, imposed by SCDHEC (Site ID SC-29403-0772) in connection with the “No Further Action” determination dated August 12, 2021 relating to environmental remediation of the adjoining property known as 518 King Street, Charleston, South Carolina, as more particularly described in Exhibit E.

“**Material Adverse Effect**” means a material adverse change in, or a material adverse effect upon, (a) the financial condition, business, assets or operations of Borrower or Guarantor, (b) the value, use, occupancy or operation of the Property, (c) the enforceability of any Loan Document or the perfection or priority of Lender’s liens on the Collateral, or (d) the ability of Borrower or Guarantor to perform its obligations under the Loan Documents.

“**Maturity Date**” means April 15, 2030.

“**Managing Member**” means Graydon Development Group LLC, a South Carolina limited liability company, in its capacity as the managing member of Borrower, and its successors in such capacity as permitted under Section 10.2.

“**Member**” means any member of Borrower, and “**Members**” means, collectively, Graydon Development Group LLC, Tidewater Opportunity Fund II LP and Harborline Capital Advisors LLC, together with any other Person that hereafter becomes a member of Borrower in accordance with Section 10.2.

“**Net Operating Income**” has the meaning given in Section 13.1.

"**Note Rate**" means the Interest Rate.

"**Payment Date**" means the fifteenth (15th) day of each calendar month, commencing May 15, 2025, on which installments of interest and, after the Interest-Only Period, principal are due under the Note.

"**Obligations**" means all present and future obligations, liabilities and indebtedness of Borrower to Lender of every kind and description arising under or in connection with the Loan Documents, whether direct or indirect, absolute or contingent, due or to become due, now existing or hereafter arising, including without limitation (a) the principal of and interest (including interest accruing after the commencement of any bankruptcy, insolvency or similar proceeding, whether or not allowed as a claim) on the Note, (b) all amounts advanced by Lender under Sections 6, 7, 9, 11, 12 or 17, (c) the Yield Maintenance Premium, late charges, default interest and prepayment premiums, (d) all costs of collection, foreclosure, enforcement, appraisal, inspection, insurance, taxes and attorneys' fees, and (e) all obligations under any interest rate protection agreement entered into with Lender or any Affiliate of Lender in connection with the Loan, if any.

"**Operating Agreement**" means the Amended and Restated Operating Agreement of Palmetto Gateway Partners LLC effective as of January 12, 2024, as amended through March 1, 2025, and as further amended by the Operating Agreement Amendment.

"**Operating Agreement Amendment**" means the amendment to the Operating Agreement, in form and substance satisfactory to Lender, adding the single-purpose entity provisions, separateness covenants, Independent Manager requirement and related restrictions required by Article 14 and Section 20.1, executed by Borrower and all Members.

"**Payment Guaranty**" means the Payment Guaranty (Interest Shortfall) of even date herewith executed by Guarantor in favor of Lender, as the same may be amended, restated, supplemented or otherwise modified from time to time.

"**Permitted Exceptions**" means those matters described in Exhibit B attached hereto and incorporated herein by reference, being the exceptions to title approved in writing by Lender and set forth in Schedule B, Part II of the Title Commitment, together with any other matter approved in writing by Lender.

"**Person**" means any individual, corporation, limited liability company, partnership, joint venture, trust, estate, unincorporated association, governmental authority or other entity.

"**Property**" has the meaning given in the granting clause of this Mortgage.

"**Proceeds**" means all "proceeds" of the Collateral within the meaning of Section 9-102(a)(64) of the Uniform Commercial Code as in effect in the State of South Carolina, and all insurance proceeds, condemnation awards, rents, profits and other sums arising from or relating to the Property.

"**Renovation Budget**" means the renovation budget for the Property in the total amount of Three Million One Hundred Fifty Thousand and No/100 Dollars ($3,150,000.00) attached as Exhibit C, as the same may be modified only with Lender's prior written consent in accordance with Section 7.6.

"**Renovation Holdback**" means the sum of Two Million Two Hundred Fifty Thousand and No/100 Dollars ($2,250,000.00) of the proceeds of the Loan to be held by Lender and disbursed to Borrower in accordance with Article 7.

"**Renovation Period**" means the period commencing on the Closing Date and ending on the date on which Substantial Completion is achieved.

"**Rents**" means all rents, issues, profits, revenues, income, royalties, receipts, security deposits, advance rentals, percentage rents, common area maintenance and expense reimbursements, tax and insurance payments by tenants, lease termination payments, parking revenues and other sums now or hereafter payable under or in connection with the Leases or the use or occupancy of the Property, together with all other income of every kind derived from the Property.

"**Reserve Accounts**" means the Tax and Insurance Escrow Account, the Capital Replacement Reserve Account, the Tenant Improvement and Leasing Commission Reserve Account and the Renovation Holdback Account established under Article 6, and each other reserve, escrow or deposit account now or hereafter established with or held by Lender in connection with the Loan.

"**SCDHEC**" means the South Carolina Department of Health and Environmental Control.

"**SOFR Floor**" means three percent (3.00%) per annum.

"**Substantial Completion**" means the completion of all renovation work comprising the Renovation Budget in accordance with the approved plans and specifications, as certified by Borrower's architect, and the issuance by the City of Charleston of a certificate of occupancy (or equivalent) for the renovated portions of the Property.

"**Substantial Completion Deadline**" means June 15, 2026.

"**Tax and Insurance Escrow Account**" has the meaning given in Section 6.1.

"**Tenant Improvement and Leasing Commission Reserve Account**" has the meaning given in Section 6.3.

"**Title Commitment**" means Commitment for Title Insurance No. PT-2025-04-1178 issued by Prestige Title & Settlement Services LLC as authorized agent for Commonwealth National Title Underwriters Inc., effective February 28, 2025.

"**Title Policy**" means the ALTA Loan Policy of title insurance (with South Carolina modifications) to be issued by Commonwealth National Title Underwriters Inc. pursuant to the Title Commitment, in the amount of $14,750,000.00, insuring the first-priority lien of this Mortgage.

"**Treasury Rate**" has the meaning given in Section 5.9(b).

"**UCC**" means the Uniform Commercial Code as in effect in the State of South Carolina, as amended from time to time.

"**Yield Maintenance Period**" means the period commencing on April 16, 2027 and ending on April 15, 2029.

"**Yield Maintenance Premium**" has the meaning given in Section 5.8.

1.2 Interpretation

In this Mortgage, unless the context otherwise requires: (a) the singular includes the plural and vice versa; (b) references to Articles, Sections and Exhibits are to Articles and Sections of, and Exhibits to, this Mortgage; (c) "including" means "including without limitation"; (d) "hereof," "herein" and "hereunder" refer to this Mortgage as a whole; (e) references to any document, statute or regulation include any amendment, restatement, supplement, replacement or successor thereto; (f) references to "days" mean calendar days unless Business Days are specified; and (g) headings are for convenience of reference only and do not affect interpretation.

1.3 Accounting Terms

All accounting terms not otherwise defined in this Mortgage have the meanings given to them under generally accepted accounting principles in the United States ("**GAAP**"), consistently applied. All financial computations and covenants shall be calculated in accordance with GAAP consistently applied, except that for purposes of determining compliance with the covenants in Article 13 the terms and computations shall be applied as expressly set forth in Article 13 without regard to any inconsistent treatment under GAAP.

ARTICLE 2 — GRANTING CLAUSE AND COLLATERAL

2.1 Grant of Mortgage Lien

Borrower hereby mortgages, grants, bargains, sells, aliens, remises, releases, conveys, assigns, transfers and sets over to Lender, and grants to Lender a first-priority lien upon and security interest in, all of Borrower's right, title and interest in and to the following, whether now owned or hereafter acquired, together with all Proceeds thereof:

(a) the Land, together with all and singular the tenements, hereditaments, appurtenances, privileges, easements, rights-of-way, rights, royalties, reversions, remainders and improvements now or hereafter belonging or appertaining thereto, including without limitation the vacated Anson Lane strip described in Exhibit A, and all land lying in the bed of any street, road, alley or avenue, opened or proposed, in front of or adjoining the Land to the center line thereof;

(b) the fee simple interest in the Property, including the Land, the Improvements and all appurtenances thereto;

(c) all Improvements now or hereafter erected, constructed, placed or located on the Land, including without limitation all buildings, structures, fixtures and building systems, and all HVAC equipment, elevators, plumbing, electrical systems and fire protection systems, and all additions, alterations, replacements, renewals and improvements thereto and all substitutions therefor, all of which shall be deemed to be part of the realty and shall be and remain subject to the lien of this Mortgage;

(d) all personal property, equipment, machinery, furniture, furnishings, trade fixtures, inventory, supplies, tools and materials owned by Borrower and used in connection with the ownership, operation, renovation, maintenance, leasing or management of the Property;

(e) all deposits, accounts, reserves and escrows established in connection with the Loan, including without limitation the Reserve Accounts, together with all sums from time to time held therein and all interest and earnings thereon;

(f) all insurance proceeds, condemnation awards, payments in lieu thereof and other payments arising from or relating to the damage, destruction, taking or diminution in value of the Property or any portion thereof;

(g) all permits, licenses, franchises, entitlements, approvals, development rights, subdivision rights, air rights, governmental authorizations, zoning rights and vested rights relating to the Property, to the extent transferable;

(h) all contracts, subcontracts, construction and architectural agreements, warranties, guaranties, indemnities and claims relating to the construction, renovation, operation, maintenance or repair of the Property, including without limitation Borrower’s interest in the Construction Contract and all warranties and guaranties of the Contractor and its subcontractors and suppliers;

(i) all Leases and Rents, subject to the absolute assignment thereof set forth in Article 3;

(j) all plans, specifications, drawings, surveys, studies, reports, books and records relating to the Property or the renovation thereof, and all rights to receive and enforce the same;

(k) all accounts, chattel paper, deposit accounts, documents, instruments, general intangibles, letter-of-credit rights, commercial tort claims, supporting obligations, investment property and money arising from or relating to the Property or the operation thereof and all rights to receive payment thereunder; and

(l) all additions, accessions, substitutions, replacements, products, proceeds, including insurance proceeds, and all rights and benefits of every kind that Borrower may now or hereafter have in or with respect to any of the foregoing.

2.2 Grant as Security Agreement

This Mortgage is, among other things, a security agreement within the meaning of the UCC. Borrower grants to Lender a security interest in the Collateral described in Sections 2.1(d) through 2.1(l) (collectively, the "**Personal Property Collateral**"), which security interest shall secure the Obligations. Borrower authorizes Lender to file, at Borrower's expense, such UCC-1 financing statements, fixture filings, continuation statements and amendments as Lender may determine to be necessary or advisable to perfect or maintain the perfection and priority of Lender's security interest in the Personal Property Collateral. Borrower ratifies any such filing made by Lender prior to the date hereof.

2.3 Debtor Information

For purposes of the UCC, Borrower represents and warrants that: (a) its exact legal name is "Palmetto Gateway Partners LLC"; (b) it is a limited liability company organized under the laws of the State of South Carolina; (c) its organizational identification number is 2024-0011287; (d) its Federal Employer Identification Number is 84-6213750; (e) its principal place of business and chief executive office are located at 88 Broad Street, Suite 200, Charleston, South Carolina 29401; and (f) it has not changed its name, form of organization, state of organization or organizational identification number within the five (5) years preceding the date hereof. Borrower shall not change its name, form of organization, state of organization, organizational identification number, principal place of business or chief executive office without giving Lender at least thirty (30) days' prior written notice.

2.4 Fixture Filing

This Mortgage shall constitute a "fixture filing" for purposes of the UCC with respect to all goods that are or are to become fixtures on the Land, and may be filed in the real property records of Charleston County, South Carolina for that purpose, in addition to being filed as a UCC-1 financing statement with the South Carolina Secretary of State.

2.5 Secured Obligations; Future Advances

This Mortgage secures the full amount of the Obligations, including without limitation all future advances made by Lender to or for the benefit of Borrower pursuant to this Mortgage and the other Loan Documents. All advances of the Renovation Holdback, all advances made by Lender under Sections 6, 7, 9, 11, 12 or 17, and all other advances made by Lender at any time under or in connection with the Loan Documents shall be obligatory or optional advances, as the case may be, secured by this Mortgage with the same priority as the initial advance made on the Closing Date, whether or not made before or after the occurrence of an Event of Default, and whether or not notice of such advance is given to any Person. The maximum principal amount of the Obligations that may be outstanding at any time is $14,750,000.00, plus all interest, costs, expenses and other amounts secured hereby.

2.6 No Cross-Collateralization

The Loan is secured only by the Property and the other Collateral described in this Mortgage. No other real property is cross-collateralized with, or cross-defaulted under, this Mortgage, and no guaranty other than the Guaranty, the Completion Guaranty and the Payment Guaranty secures the Obligations.

2.7 No Personal Liability of Members

Nothing in this Mortgage shall be construed to impose any personal liability on any Member, manager, officer or employee of Borrower for the Obligations, except to the extent expressly provided in Article 18, in the Guaranty, the Completion Guaranty, the Payment Guaranty, the Environmental Indemnity or in the Members' Consent set forth at the end of this Mortgage.

ARTICLE 3 — ABSOLUTE ASSIGNMENT OF LEASES AND RENTS

3.1 Absolute and Present Assignment

For good and valuable consideration, the receipt and sufficiency of which are hereby acknowledged, Borrower hereby unconditionally, absolutely and presently grants, transfers and assigns to Lender all of Borrower's right, title and interest in, to and under all Leases, and all Rents, issues, profits and other sums now or hereafter payable thereunder or in connection with the use or occupancy of the Property, together with all rights and remedies of the landlord under the Leases, all security deposits and other tenant deposits, all guaranties and other credit support for tenant obligations, and all claims and causes of action arising under or in connection with the Leases, in each case without reservation of any kind. This assignment is an absolute and present assignment and not a collateral assignment given as additional security only. Borrower and Lender intend that this Article 3 constitute an absolute assignment of Rents within the meaning of the Uniform Assignment of Rents Act as enacted in the State of South Carolina (S.C. Code Ann. § 29-3-100 *et seq.*), and that Lender's right to receive the Rents be perfected upon the recording of this Mortgage in the RMC Office. The assignment set forth in this Article 3 is not a substitute for, and does not limit, the lien of this Mortgage on the Leases and Rents; Lender's rights under this Article 3 are in addition to its rights under the other provisions of this Mortgage and applicable law.

3.2 License to Collect Prior to Default

Notwithstanding the absolute and present nature of the assignment set forth in Section 3.1, Lender grants to Borrower a revocable license to collect, receive, use and apply the Rents in the ordinary course of the operation of the Property, subject to the terms of the Loan Documents, prior to the occurrence of an Event of Default. Such license shall be automatically revoked, without notice, upon the occurrence of an Event of Default and the giving of the notice described in Section 3.3, and may be revoked by Lender at any time upon the occurrence and during the continuance of an Event of Default. Borrower shall hold the Rents, or a portion thereof sufficient to discharge all current Obligations, in trust for the benefit of Lender as its interests may appear, and shall apply the Rents first to the payment of operating expenses of the Property and the Obligations as required by the Loan

Documents. Borrower’s failure to apply Rents as required by this Section 3.2 shall constitute a misapplication of Rents for purposes of Section 18.2(b).

3.3 Enforcement; Notice to Tenants

At any time after the occurrence and during the continuance of an Event of Default, Lender may, in its sole discretion and without further notice to Borrower (except as expressly required by this Section 3.3 or by applicable law), (a) notify any or all tenants under the Leases, in writing, that the Leases and Rents have been absolutely assigned to Lender and that the Rents are to be paid directly to Lender or as Lender directs, (b) demand, collect, sue for and receive the Rents directly, and (c) enforce the Leases and exercise all rights and remedies of the landlord thereunder. Borrower irrevocably authorizes and directs each tenant under the Leases to pay Rents directly to Lender upon receipt of written notice from Lender, and Borrower agrees that any tenant making such payment shall be fully protected and discharged from any further obligation to Borrower with respect to the amounts so paid. Lender’s enforcement of the assignment of Rents shall not require the appointment of a receiver, the entry of any court order or the taking of any other action, provided that Lender may apply for the appointment of a receiver in accordance with Section 17.2.

3.4 Security Deposits

Borrower shall maintain the security deposits under the Leases in accordance with the Leases and applicable law and shall not apply any security deposit except as expressly permitted by the applicable Lease. On the Closing Date and at any time thereafter upon Lender’s request, Borrower shall deliver to Lender a schedule of all security deposits held under the Leases, and, at Lender’s election following the occurrence and during the continuance of an Event of Default, shall deposit or transfer all security deposits to an account controlled by Lender or as Lender directs.

3.5 Tenant Estoppels and SNDAs

As a condition to the initial advance of the Loan, Borrower shall deliver to Lender (a) tenant estoppel certificates, in form and substance satisfactory to Lender, from each tenant in occupancy at the Property as of the Closing Date, being Lowcountry Provisions Inc., Harmon & Wren Design Studio LLC and Tidemark Consulting Group LLC, dated not more than thirty (30) days prior to the Closing Date, and (b) executed subordination, non-disturbance and attornment agreements from each such tenant, in form and substance satisfactory to Lender. Each such estoppel certificate shall, with respect to the Lowcountry Provisions Inc. lease, acknowledge the existence of this Mortgage and the assignment of Leases and Rents, confirm that the tenant has no offset, defense or claim against the landlord, and agree that, upon written notice from Lender following an Event of Default, the tenant shall pay Rents directly to Lender. Borrower shall use commercially reasonable efforts to obtain a lease amendment to the Lowcountry Provisions Inc. lease adding a customary consent-to-assignment provision at the next renewal, extension or amendment thereof, and shall deliver to Lender copies of all leases, lease

amendments and tenant estoppel certificates within ten (10) Business Days after execution thereof as required by Section 13.3(e).

3.6 Covenants Regarding Leases

Borrower shall (a) perform all of its obligations as landlord under the Leases, (b) not accept any rent more than one (1) month in advance, (c) not anticipate, discount, assign, pledge or otherwise encumber any Rents, (d) enforce the material obligations of tenants under the Leases, (e) not terminate, accept a surrender of, or waive any material right under any Lease except as expressly permitted by Section 10.3, (f) not modify, amend, restate, extend or renew any Lease except in compliance with Section 9.6 and Section 10.3, and (g) not hold any Lease in a manner that would permit the Lease to be collected by a third party.

3.7 No Merger

The assignment set forth in this Article 3 shall not merge with, or be extinguished by, the lien of this Mortgage or by any foreclosure or other enforcement of this Mortgage, and shall survive any foreclosure sale of the Property to the extent of the Leases and Rents relating to any portion of the Property not acquired at such sale.

ARTICLE 4 — TITLE, PERMITTED EXCEPTIONS AND FURTHER ASSURANCES

4.1 Warranty of Title

Borrower represents, warrants and covenants that (a) Borrower is and will remain the sole fee simple owner of the Property, free and clear of all liens, encumbrances, easements, restrictions, adverse claims, options, rights of first refusal, tenancies and other matters affecting title, other than the Permitted Exceptions and the Leases approved by Lender, (b) Borrower has good and marketable title to the Property and good right and lawful authority to mortgage the Property, (c) this Mortgage creates a valid first-priority lien on and security interest in the Property, subject only to the Permitted Exceptions, and (d) there are no mechanic’s, materialmen’s, judgment, tax or other liens against the Property other than the Permitted Exceptions.

4.2 Permitted Exceptions

The lien of this Mortgage is subject and subordinate only to the Permitted Exceptions. Lender’s approval of the Permitted Exceptions as of the Closing Date shall not constitute a waiver of, or consent to, any future violation of any covenant, condition or restriction contained in any Permitted Exception, nor a waiver of Borrower’s obligations under Section 9.3 with respect thereto. Without limiting the foregoing, Borrower acknowledges that the LUR is a Permitted Exception that runs with the land and that Borrower’s compliance with the LUR is an express obligation under Article 12.

4.3 Defense of Title; Further Assurances

Borrower shall (a) appear in and defend any action or proceeding purporting to affect the Property, the lien of this Mortgage or Lender's interest therein, at Borrower's sole cost and expense, (b) promptly notify Lender of any such action or proceeding, and (c) execute, acknowledge, deliver, file and record such further instruments and take such further actions as Lender may reasonably request to create, perfect, maintain, protect or enforce the lien of this Mortgage, the security interests granted herein or the Assignment of Leases and Rents, including without limitation the Operating Agreement Amendment, landlord waivers, consents to assignment, subordination agreements, UCC continuation statements, title affidavits and date-down endorsements.

4.4 Consent to Encroachments, Easements and Rights-of-Way

Lender consents to the existing encroachments, easements, rights-of-way, party walls and similar matters that constitute Permitted Exceptions, including without limitation (a) the decorative iron balcony extending approximately two and one-half (2.5) feet beyond the front façade of the building over and across the King Street public right-of-way, and (b) the underground utility easement in favor of South Carolina Electric & Gas recorded in Deed Book 987 at Page 112, in the RMC Office. Borrower shall use commercially reasonable efforts to obtain and maintain any encroachment license, permit or similar approval from the City of Charleston required for the balcony encroachment, and shall deliver copies thereof to Lender. If any governmental authority requires the removal, modification or alteration of the balcony, Borrower shall promptly notify Lender and shall complete such work in accordance with Section 9.2, and the cost thereof shall be borne by Borrower and, to the extent required, by Guarantor under the Completion Guaranty.

4.5 The Anson Lane Parcel

Borrower acknowledges that the strip of land formerly known as Anson Lane was conveyed to Borrower's predecessor in title by quitclaim deed recorded in Deed Book 1128 at Page 443, in the RMC Office, and that such conveyance carries no warranty of title. Borrower represents and warrants that, at the Closing Date, title to the Anson Lane strip is vested in Borrower in fee simple and is insured under the Title Policy without any exception that (a) excludes such strip from the insured estate, (b) describes such strip as less than a fee simple estate, or (c) qualifies the Company's willingness to insure such strip other than as disclosed in Exhibit B. Borrower shall cooperate with Lender and the title insurer to obtain such endorsements, affirmative coverage or additional premium arrangements as Lender may reasonably require with respect to the Anson Lane strip, including without limitation coverage under ALTA Endorsement 34 (Identified Exception) or equivalent, and the cost thereof shall be borne by Borrower pursuant to Section 22.9.

4.6 No Merger of Estates

If Lender acquires title to the Property or any portion thereof by foreclosure, deed in lieu of foreclosure or otherwise, the lien of this Mortgage and the obligations secured hereby shall not merge into such title, and Lender may thereafter exercise

the rights of a mortgagee with respect to any portion of the Property not acquired, all to the extent permitted by applicable law.

ARTICLE 5 — PAYMENT, INTEREST, MATURITY AND PREPAYMENT

5.1 The Note; Principal and Interest

Borrower shall pay the principal of and interest on the Loan, and all other amounts due under the Loan Documents, strictly in accordance with the Note and this Mortgage. Interest shall accrue at the Interest Rate and shall be payable monthly in arrears on each Payment Date. During the Interest-Only Period, each monthly installment shall consist solely of accrued interest on the outstanding principal balance of the Loan. Commencing with the payment due on May 15, 2027, and continuing through the Maturity Date, each monthly installment shall be equal to the amount required to fully amortize the then-outstanding principal balance of the Loan over a twenty-five (25) year amortization schedule at the Interest Rate then in effect, with the amount of the monthly installment recalculated on each Payment Date to reflect the then-outstanding principal balance and the then-applicable Interest Rate.

5.2 Interest Rate; SOFR Provisions

(a) The Loan shall bear interest at a floating rate per annum equal to Daily SOFR plus the Applicable Spread, subject to the SOFR Floor. In no event shall the Interest Rate be less than the sum of the SOFR Floor plus the Applicable Spread (being five and eighty-five hundredths percent (5.85%) per annum as of the Closing Date).

(b) Interest shall be computed on the basis of the actual number of days elapsed in each interest period over a three hundred sixty (360) day year. If Daily SOFR is not published or is unavailable for any day, the Interest Rate for such day shall be determined by reference to the rate published for the immediately preceding Business Day.

(c) Lender’s determination of Daily SOFR and the Interest Rate for any day shall be made in good faith and shall be conclusive and binding on Borrower absent manifest error. Lender shall provide Borrower with a monthly statement showing the Interest Rate applied and the amount of interest accrued.

(d) If Lender determines in good faith that Daily SOFR has been permanently or indefinitely discontinued or is no longer a widely recognized benchmark, the Interest Rate shall be determined using the rate per annum published by the Federal Reserve Bank of New York (or any successor administrator) as the successor rate recommended for use in place of Daily SOFR, together with any spread adjustment recommended for such successor rate, or, if no such recommendation exists, such alternative rate as Lender and Borrower may agree upon acting in good faith, and in each case giving effect to the SOFR Floor.

5.3 Default Rate

Upon the occurrence and during the continuance of an Event of Default, the outstanding principal balance of the Loan and, to the extent permitted by applicable law, all other amounts due under the Loan Documents, shall bear interest at the Default Rate, accruing from the date of the Event of Default until such Event of Default is cured or the Loan is repaid in full, whichever first occurs. Interest at the Default Rate shall be payable on demand. Nothing in this Section 5.3 shall limit Lender's right to receive the Default Rate following acceleration or during any period in which any amount remains unpaid after the Maturity Date.

5.4 Late Charge

If any monthly installment of principal and/or interest is not received by Lender within ten (10) calendar days after the due date thereof, Borrower shall pay to Lender, on demand, a late charge equal to five percent (5%) of such overdue installment. The late charge is intended to compensate Lender for the additional administrative expense of processing late payments, is not a penalty, and shall be in addition to interest at the Default Rate and all other amounts payable under the Loan Documents.

5.5 Payment Mechanics; Application of Payments

All payments shall be made in immediately available funds in lawful money of the United States, without setoff, counterclaim, deduction or withholding, at Lender's address set forth in Section 21.1 or by such other method as Lender may direct. All payments received shall be applied in the following order of priority: (a) late charges and other fees; (b) costs and expenses, including attorneys' fees, incurred by Lender; (c) interest at the Default Rate and interest at the Interest Rate; (d) principal; and (e) any other amounts due under the Loan Documents; provided that Lender may apply payments in any order it elects following the occurrence of an Event of Default. Any payment received after 2:00 p.m. Eastern time on a Business Day shall be deemed received on the next Business Day.

5.6 Maturity

The entire outstanding principal balance of the Loan, together with all accrued and unpaid interest and all other amounts due under the Loan Documents, shall be due and payable on the Maturity Date, without notice, presentment or demand, all of which are hereby waived. Borrower acknowledges that the Loan does not fully amortize and that a substantial balloon payment will be due on the Maturity Date.

5.7 Prepayment — Lockout Period

Borrower shall have no right to prepay all or any portion of the Loan at any time during the Lockout Period. Any voluntary prepayment attempted or made during the Lockout Period shall be (a) prohibited, and Lender shall be entitled to refuse to accept and to return any such payment, and (b) if accepted by Lender in its sole and absolute discretion, subject to payment of a prepayment premium in the amount that would be payable under Section 5.8 if such prepayment had been made on the last day of the Lockout Period, together with all other amounts then due under the Loan Documents. No partial prepayment of the Loan shall be

permitted at any time during the Lockout Period. This Section 5.7 does not apply to (i) the application of casualty insurance proceeds or condemnation awards in accordance with Article 15, or (ii) payments made from Lender's own funds or out of the Reserve Accounts held by Lender, including any application of Reserve Account balances upon acceleration.

5.8 Prepayment — Yield Maintenance Period

During the Yield Maintenance Period, Borrower may prepay the Loan in whole (but not in part) at any time, upon not less than thirty (30) days' prior written notice to Lender, which notice shall be irrevocable, provided that Borrower pays to Lender, simultaneously with such prepayment, (a) the entire outstanding principal balance of the Loan, (b) all accrued and unpaid interest through the date of prepayment, (c) all other amounts due under the Loan Documents, and (d) the Yield Maintenance Premium. The "**Yield Maintenance Premium**" shall be the greater of:

(i) one percent (1.00%) of the outstanding principal balance of the Loan as of the date of prepayment; and

(ii) the present value of the excess, if any, of (A) the interest that would have accrued on the amount prepaid at the Note Rate during the period from the date of prepayment through the last day of the Yield Maintenance Period, over (B) the interest that would have accrued on such amount during such period at a rate per annum equal to the Treasury Rate plus fifty (50) basis points, discounted to present value at the Treasury Rate as of the date of prepayment.

In no event shall the Yield Maintenance Premium be less than the amount determined under clause (i) above. No partial prepayment of the Loan shall be permitted during the Yield Maintenance Period.

5.9 Computation of Yield Maintenance Premium

The Yield Maintenance Premium shall be determined in accordance with the following methodology, which the parties intend to be mathematically determinative and objectively calculable as of the prepayment date:

(a) The amount prepaid shall be allocated to the scheduled monthly payment periods remaining from the prepayment date through the last day of the Yield Maintenance Period (the last such period ending on April 15, 2029). The number of full and partial monthly periods remaining shall be determined by counting, on an actual-day basis, the period from the prepayment date to April 15, 2029.

(b) "**Treasury Rate**" means the yield to maturity, determined as of the second (2nd) Business Day preceding the prepayment date, of the United States Treasury security having a maturity date closest to, but not exceeding, the last day of the Yield Maintenance Period, as reported in Federal Reserve Statistical Release H.15 — Selected Interest Rates (or any successor publication) under the caption "Treasury Constant Maturities." If no

published maturity date exactly matches the last day of the Yield Maintenance Period, the Treasury Rate shall be determined by linear interpolation between the yields reported for the two published maturities nearest to such date, applied on an actual-day basis. If the last day of the Yield Maintenance Period precedes the shortest published maturity, the shortest published maturity shall be used.

(c) The interest differential for each remaining monthly period shall equal the product of (i) the amount prepaid, (ii) the difference (expressed as a per annum rate, and not less than zero) between the Note Rate and the sum of the Treasury Rate plus fifty (50) basis points, and (iii) a fraction, the numerator of which is the number of days in such monthly period and the denominator of which is three hundred sixty (360).

(d) The present value of each such interest differential shall be computed by discounting such amount from the last day of the applicable monthly period to the prepayment date using a discount rate equal to the Treasury Rate, applied on an actual/360 basis with monthly compounding.

(e) If Federal Reserve Statistical Release H.15 ceases to be published, the Treasury Rate shall be determined by reference to the successor publication or source designated by the Board of Governors of the Federal Reserve System or, absent such designation, by reference to the yield on the applicable United States Treasury security as reported by a nationally recognized financial information service selected by Lender in good faith.

(f) Lender shall deliver to Borrower, within five (5) Business Days after receipt of Borrower’s prepayment notice, a statement setting forth in reasonable detail Lender’s computation of the Yield Maintenance Premium. Absent manifest error, Lender’s computation shall be conclusive and binding on Borrower.

5.10 Prepayment — Open Prepayment Period

During the final twelve (12) months of the term of the Loan (being the period from and including April 16, 2029 through and including the Maturity Date), Borrower may prepay the Loan in whole or in part, at any time and from time to time, without payment of any prepayment premium, penalty, yield maintenance amount or other charge, upon not less than fifteen (15) days’ prior written notice to Lender. Any partial prepayment made during such period shall be applied to the scheduled installments of principal in inverse order of maturity.

5.11 No Defeasance; No Substitute Collateral

Borrower shall not have the right to defease the Loan, to substitute collateral for the Property or any portion thereof, or to obtain a release of any portion of the Property from the lien of this Mortgage prior to the payment in full of the Obligations, except as expressly provided in Article 15 with respect to casualty and condemnation, or with Lender’s prior written consent, which Lender may withhold in its sole discretion.

5.12 Involuntary Payments

Any payment of the Loan made with proceeds of casualty insurance, condemnation awards or other involuntary prepayment shall be applied in accordance with Article 15 and shall not be subject to the Yield Maintenance Premium.

5.13 Usury Savings

Notwithstanding any other provision of the Loan Documents, in no event shall the aggregate of all interest and other charges constituting interest under applicable law exceed the maximum rate permitted by applicable law. If any amount in excess of such maximum rate is inadvertently charged or collected, such excess shall be applied to reduce the principal balance of the Loan (or, if the Loan has been paid in full, refunded to Borrower), and the effective rate of interest shall be automatically reduced to the maximum lawful rate. To the extent permitted by applicable law, all amounts constituting interest shall be amortized, prorated, allocated and spread over the full term of the Loan.

ARTICLE 6 — RESERVES AND ESCROWS

6.1 Tax and Insurance Escrow

(a) Borrower shall deposit with Lender, on the Closing Date and on each Payment Date thereafter, an amount equal to one-twelfth (1/12) of the annual amounts, as estimated by Lender in its reasonable discretion, required to pay (i) all real property taxes, assessments, water and sewer charges and other governmental impositions affecting all three (3) tax parcels comprising the Land (Tax Map Nos. 460-12-04-007, 460-12-04-008 and 460-12-04-009), and (ii) all premiums for the property, flood, liability and other insurance required under Article 11, together with any deductibles reasonably anticipated by Lender.

(b) Amounts so deposited (the "**Escrow Funds**") shall be held by Lender in a non-interest-bearing account or, at Lender's election, in an interest-bearing account for the benefit of Borrower (the "**Tax and Insurance Escrow Account**"), and shall be applied by Lender toward the payment of such taxes and insurance premiums as they become due and payable, subject to the provisions of this Article 6 and applicable law. Lender may, in its reasonable discretion, adjust the monthly escrow deposits from time to time based upon actual or anticipated tax assessments, insurance premiums, special assessments or shortages in the Tax and Insurance Escrow Account, and Borrower shall pay any resulting deficiency within thirty (30) days after written demand.

(c) Borrower shall furnish to Lender all tax bills and insurance premium invoices promptly upon receipt and in any event not less than fifteen (15) days prior to the applicable due date. If Borrower fails to furnish any such bill or invoice and Lender pays the same, such payment shall constitute an advance under Section 9.14.

6.2 Capital Replacement Reserve

Borrower shall deposit with Lender, on each Payment Date, the sum of Six Hundred Forty-Five and 83/100 Dollars ($645.83) into a capital replacement reserve account held by Lender (the "**Capital Replacement Reserve Account**"), being the amount derived from $0.25 per square foot per year multiplied by 31,000 square feet of gross building area ($7,750.00 per year), divided by twelve (12) months. Funds in the Capital Replacement Reserve Account shall be disbursed to Borrower upon Lender's approval of qualifying capital expenditures for the Property, subject to Lender's reasonable review and approval procedures and the submission of invoices, lien waivers and such other documentation as Lender may reasonably require. Lender may reassess the amount of the monthly deposit no more than once in any twelve (12) month period based upon a property condition assessment or capital needs analysis obtained by Lender.

6.3 Tenant Improvement and Leasing Commission Reserve

(a) On the Closing Date, Borrower shall deposit the sum of One Hundred Fifty Thousand and No/100 Dollars ($150,000.00) into a tenant improvement and leasing commission reserve account held by Lender (the "**Tenant Improvement and Leasing Commission Reserve Account**").

(b) Disbursements from the Tenant Improvement and Leasing Commission Reserve Account shall be subject to Lender's prior written approval and shall be used exclusively for tenant improvement costs and leasing commissions incurred in connection with the leasing of vacant space at the Property, including Bay 2 and 2nd Floor Suite B.

(c) Upon any draw-down from the Tenant Improvement and Leasing Commission Reserve Account, Borrower shall, within thirty (30) days after Lender's written demand, replenish the account to the full amount of $150,000.00 from Borrower's own funds. Borrower's failure to replenish within such period shall constitute an Event of Default under Section 16.1(h).

(d) Borrower acknowledges that the Tenant Improvement and Leasing Commission Reserve Account is separate from, and in addition to, the tenant improvement allowances included in the Renovation Budget (Line Item 4.0 thereof). Borrower shall fund tenant improvement costs first from the Tenant Improvement and Leasing Commission Reserve Account and thereafter from the Renovation Holdback, and shall not seek reimbursement for the same cost from both sources.

6.4 Renovation Holdback Account

The Renovation Holdback shall be held by Lender in an account maintained by Lender (the "**Renovation Holdback Account**") and shall be disbursed to Borrower solely in accordance with Article 7. Amounts in the Renovation Holdback Account shall not be disbursed to Borrower except upon satisfaction of each applicable condition set forth in Article 7 and Section 20.2.

6.5 Reserve Accounts as Collateral; Control

(a) Each Reserve Account is part of the Collateral, and Borrower hereby grants to Lender a security interest in each Reserve Account and all sums held therein. Lender shall have sole dominion and control over each Reserve Account, and Borrower shall have no right to withdraw, direct the investment of or otherwise deal with any Reserve Account except as expressly provided in this Article 6.

(b) Lender may, at its election, apply all or any part of the amounts in any Reserve Account to cure any default of Borrower under the Loan Documents, to pay any tax, insurance premium, capital expenditure, tenant improvement cost or other item for which the applicable Reserve Account was established, or to the payment of the Obligations upon acceleration. Any such application shall not cure any Event of Default other than as expressly provided in Section 16.2.

(c) Borrower acknowledges that each Reserve Account is a deposit account maintained by Lender as secured party, that Lender's security interest therein is perfected by control within the meaning of Section 9-104 of the UCC, and that Borrower has no right to require Lender to maintain any Reserve Account at any particular institution or to deliver any account control agreement.

(d) Upon the payment in full of the Obligations, Lender shall, within a reasonable time, return to Borrower any unapplied amounts remaining in the Reserve Accounts, subject to the terms of the Loan Documents and applicable law.

6.6 Waiver; No Interest

Lender shall not be obligated to pay interest on any amounts held in any Reserve Account unless Lender elects to maintain an interest-bearing account, and in that event interest shall be credited in accordance with Lender's customary practices. Borrower waives any claim against Lender for any loss or diminution of principal resulting from the failure of any depository institution at which funds are held.

ARTICLE 7 — RENOVATION AND CONSTRUCTION

7.1 Renovation Budget; Construction Contract

(a) Borrower shall cause the renovation of the Property to be performed substantially in accordance with the Renovation Budget and the plans and specifications approved by Lender, and in compliance with the Construction Contract and all applicable laws, codes and permit requirements.

(b) The Renovation Budget totals $3,150,000.00, comprising HVAC replacement ($1,200,000.00), elevator modernization ($475,000.00), façade restoration ($625,000.00), tenant improvement allowances ($550,000.00) and soft costs and contingency ($300,000.00). The Construction Contract provides for a contract sum of $2,850,000.00 covering hard costs, and the remaining

$300,000.00 of soft costs and contingency is outside the scope of the Construction Contract.

(c) The Renovation Holdback of $2,250,000.00 is $600,000.00 less than the Construction Contract sum, and Borrower shall fund all renovation costs in excess of the Renovation Holdback, being approximately $900,000.00, from Borrower's own funds, in accordance with the draw schedule attached as Exhibit C.

(d) Borrower has delivered to Lender a complete copy of the executed Construction Contract, together with all schedules, exhibits and amendments thereto. Borrower shall not amend, supplement, terminate or grant any material waiver or release under the Construction Contract without Lender's prior written consent, except for change orders permitted under Section 7.6.

7.2 Draw Requests; Conditions to Disbursement

Borrower may request disbursements from the Renovation Holdback no more frequently than once per calendar month. Each draw request shall be submitted to Lender not less than ten (10) Business Days prior to the requested disbursement date and shall be accompanied by:

(a) an AIA G702/G703 Application and Certificate for Payment, certified by Borrower's architect of record, detailing the work completed, amounts previously paid and the amount then requested;

(b) conditional lien waivers for the current draw, and unconditional lien waivers for all prior draws, from the Contractor and from each subcontractor performing work in an amount exceeding Twenty-Five Thousand and No/100 Dollars ($25,000.00);

(c) a title date-down endorsement from the title insurer confirming that no intervening mechanic's or materialmen's liens or other encumbrances have been filed against the Property since the date of recording of this Mortgage or the most recent date-down endorsement;

(d) evidence of Lender's satisfactory inspection of the work in progress, which inspection may be conducted by a third-party inspector retained by Lender at Borrower's expense pursuant to Section 7.7;

(e) evidence that Borrower has funded, or is then funding concurrently, Borrower's proportionate share of the costs covered by such draw request in accordance with the funding allocation set forth in Exhibit C, unless Lender agrees in writing to a different allocation;

(f) with respect to any draw request that includes tenant improvement allowances, evidence of the applicable executed lease, Lender's approval thereof as required by Section 9.6, and the applicable tenant improvement allowance provisions; and

(g) with respect to any work involving or affecting the floor slab of Bay 1 on Lot 7 (Tax Map No. 460-12-04-007), evidence of Borrower's compliance with Section 7.9 and Article 12.

7.3 Retainage

Lender shall retain ten percent (10%) of each disbursement from the Renovation Holdback as retainage until Substantial Completion has been achieved. Retainage shall be released upon Lender's receipt of (a) satisfactory evidence of Substantial Completion, including the architect's certificate and the certificate of occupancy, (b) final unconditional lien waivers from the Contractor and all subcontractors, (c) a final title date-down endorsement, and (d) such other evidence as Lender may reasonably require. Borrower acknowledges that the Renovation Holdback of $2,250,000.00, less ten percent (10%) retainage of $225,000.00, will not permit aggregate disbursements exceeding $2,025,000.00 prior to Substantial Completion, and that Borrower is obligated to fund the resulting cash-flow timing difference from Borrower's own funds.

7.4 Substantial Completion; Substantial Completion Deadline

Borrower shall achieve Substantial Completion of the renovation on or before the Substantial Completion Deadline (June 15, 2026). Borrower shall deliver to Lender written notice of Substantial Completion within five (5) Business Days after the same is achieved, together with the architect's certificate, the certificate of occupancy and a final AIA G702/G703 application. Borrower's failure to achieve Substantial Completion on or before the Substantial Completion Deadline, subject to Section 16.2(e), shall constitute an Event of Default under Section 16.1(j).

7.5 Cost Overruns

Borrower shall pay all costs of the renovation in excess of the Renovation Holdback from Borrower's own funds as and when due, and shall not permit any mechanic's, materialmen's or other lien to attach to the Property. If at any time Lender determines in good faith that the then-unfunded portion of the Renovation Holdback is insufficient to complete the renovation in accordance with the Renovation Budget and the approved plans, Borrower shall, within ten (10) Business Days after written demand, deposit with Lender additional funds in the amount of such deficiency, to be held and disbursed as part of the Renovation Holdback. Borrower's failure to make such deposit shall constitute an Event of Default.

7.6 Change Orders

Borrower shall not approve or permit (a) any change order, amendment or modification to the Construction Contract, (b) any change in the plans and specifications, or (c) any increase in the Renovation Budget, in any such case that individually or in the aggregate exceeds One Hundred Thousand and No/100 Dollars ($100,000.00), or that reduces the scope of the work in any material respect, without Lender's prior written consent. Borrower may approve change orders not exceeding such threshold in the aggregate, provided that (i) such change orders do not reduce the scope of the renovation in any material respect,

(ii) no Event of Default exists, and (iii) Borrower delivers copies of all such change orders to Lender within ten (10) Business Days. In no event shall any change order be funded from the Renovation Holdback unless it increases the Renovation Budget and Lender has approved the funding source.

7.7 Inspection

Lender and its agents, representatives, architects, engineers and third-party inspectors may enter upon the Property at reasonable times and upon reasonable prior notice (or at any time without notice following an Event of Default) to inspect the progress and quality of the renovation, the workmanship and materials, and Borrower’s compliance with this Article 7. Borrower shall cooperate with all such inspections and shall cause the Contractor to do so. The cost of any such inspection shall be borne by Borrower as provided in Section 22.9.

7.8 Failure to Complete; Lender’s Right to Complete

If Borrower fails to commence or diligently pursue the renovation, or fails to complete the renovation by the Substantial Completion Deadline, or if an Event of Default occurs and is continuing, Lender may (but shall have no obligation to), in addition to all other remedies available under the Loan Documents, (a) withhold further disbursements from the Renovation Holdback, (b) enter upon the Property and take such actions as Lender deems necessary to complete or protect the renovation, (c) engage the Contractor or another contractor to complete the work, and (d) apply all remaining amounts in the Renovation Holdback Account and any other Reserve Account to the costs thereof. All amounts so expended by Lender shall constitute advances under Section 9.14 and shall be secured by this Mortgage. Lender’s exercise of any right under this Section 7.8 shall not cure any Event of Default, shall not constitute an assumption of any obligation of Borrower and shall not create any liability of Lender to Borrower, Guarantor, the Contractor or any other Person.

7.9 Bay 1 Slab and Land Use Restriction Coordination

Borrower shall not permit any renovation, construction, demolition or alteration activity that penetrates, removes, compromises or otherwise affects the vapor barrier installed beneath the concrete floor slab of Bay 1 (Lot 7, ground floor) unless (a) Borrower has given prior written notice to SCDHEC as required by the LUR, (b) Borrower has obtained Lender’s prior written consent, which consent may be conditioned upon delivery of an environmental consultant’s written plan for inspection, repair or replacement of the vapor barrier, and (c) the work is performed in a manner that preserves or restores the integrity of the vapor barrier in compliance with the LUR. Borrower shall deliver to Lender copies of all correspondence with SCDHEC relating to the LUR and all vapor barrier inspection reports within five (5) Business Days after the same are sent or received. Borrower acknowledges that the façade restoration, HVAC replacement and elevator modernization comprising the Renovation Budget may require work in proximity to the Bay 1 slab and agrees to conduct such work in accordance with this Section 7.9.

7.10 Permits and Board of Architectural Review Approval

Borrower shall obtain and maintain all permits, licenses and approvals necessary for the renovation, including without limitation approval of the façade restoration (including the decorative iron balcony) by the City of Charleston Board of Architectural Review, in each case prior to the commencement of the affected work. Borrower shall promptly deliver copies of all such permits and approvals to Lender and shall comply with all conditions thereof.

ARTICLE 8 — REPRESENTATIONS AND WARRANTIES

Borrower represents and warrants to Lender, as of the Closing Date and as of each date on which any advance is made under the Loan Documents, as follows:

8.1 Organization; Authority

Borrower is a limited liability company duly organized, validly existing and in good standing under the laws of the State of South Carolina, is duly qualified to do business in each jurisdiction in which the nature of its business or the ownership of the Property requires such qualification, and has all requisite power and authority to own the Property, to carry on its business as presently conducted and as contemplated by the Loan Documents, and to execute, deliver and perform its obligations under the Loan Documents.

8.2 Enforceability; No Conflicts

The execution, delivery and performance by Borrower of the Loan Documents have been duly authorized by all necessary limited liability company action, including by Graydon Development Group LLC as Managing Member and by the Members to the extent required by the Operating Agreement, and do not and will not (a) violate the articles of organization, the Operating Agreement or any other organizational document of Borrower, (b) violate any applicable law, order, judgment or decree, (c) result in a breach of or default under any indenture, agreement or instrument to which Borrower is a party, including without limitation the Leases and the Construction Contract, or (d) require any consent or approval of any Person that has not been obtained. The Loan Documents constitute the legal, valid and binding obligations of Borrower, enforceable against Borrower in accordance with their terms, subject to applicable bankruptcy, insolvency, reorganization, moratorium and similar laws affecting creditors’ rights generally and to general principles of equity.

8.3 Title; Permitted Exceptions

Borrower has good, marketable and insurable fee simple title to the Property, subject only to the Permitted Exceptions, and this Mortgage constitutes a valid first-priority lien on and security interest in the Property, subject only to the Permitted Exceptions. The Title Commitment accurately reflects all matters of record affecting the Property, and there are no unrecorded leases (other than as disclosed in the rent roll delivered to Lender), options, rights of first refusal, contracts of sale or other interests in the Property other than as disclosed in the rent roll and the Permitted Exceptions.

8.4 Leases; Rent Roll

The rent roll dated as of the Closing Date delivered to Lender and attached as Exhibit D is true, correct and complete in all material respects and accurately describes each Lease affecting the Property, including the premises, term, rent, escalations, security deposits, renewal options, rights of first refusal, termination rights, exclusives and assignment and subletting provisions. There are no Leases affecting the Property other than those described in Exhibit D and the matters described in Exhibit B. Borrower has delivered to Lender true, correct and complete copies of all Leases, together with all amendments, side letters and guaranties relating thereto. No tenant is in material default under its Lease, no tenant has asserted any material claim, offset, defense or setoff against Borrower, and no event has occurred that, with notice or lapse of time or both, would constitute a material default by Borrower under any Lease.

8.5 Environmental

Except as disclosed in the Phase I Environmental Site Assessment Report No. CLR-2025-0119 dated January 28, 2025 prepared by Clearfield Environmental Consulting LLC (the "**Phase I Report**") and in Exhibit E, (a) to Borrower's knowledge, the Property is free of Hazardous Materials and has not been used for the generation, treatment, storage, disposal or release of Hazardous Materials; (b) Borrower has not received any notice of violation of or liability under any Environmental Laws relating to the Property; (c) the Property is in compliance with the LUR and all applicable Environmental Laws; (d) the vapor barrier beneath the floor slab of Bay 1 is intact and has not been penetrated, removed or compromised; and (e) there are no pending or, to Borrower's knowledge, threatened claims, actions or proceedings relating to the environmental condition of the Property. Borrower has delivered to Lender a true and complete copy of the Phase I Report and has obtained for Lender the reliance rights of an intended user thereunder.

8.6 Single-Purpose Entity

Borrower is, and since its formation has been, a single-purpose entity that owns no assets other than the Property and the Collateral contemplated by the Loan Documents, has incurred no indebtedness other than the Loan and trade payables incurred in the ordinary course of business, and has conducted no business other than the ownership, operation, renovation, leasing and management of the Property. From and after the Closing Date, the Operating Agreement shall contain the single-purpose entity provisions, separateness covenants, Independent Manager requirement and other restrictions required by Article 14, and all Members shall have executed the Operating Agreement Amendment.

8.7 Litigation

There is no action, suit, proceeding, arbitration or governmental investigation pending or, to Borrower's knowledge, threatened against Borrower, Guarantor or the Property that, if adversely determined, would reasonably be expected to have a Material Adverse Effect or that questions the validity of any Loan Document.

8.8 Insurance

Borrower has obtained, and shall maintain, all insurance required by Article 11, and each such policy is in full force and effect, with premiums paid current, and names Lender as mortgagee, loss payee and/or additional insured, as applicable.

8.9 Financial Statements

The financial statements of Borrower and Guarantor delivered to Lender are complete and correct in all material respects, have been prepared in accordance with GAAP consistently applied (subject, in the case of interim statements, to normal year-end adjustments and the absence of footnotes), and fairly present the financial condition and results of operations of Borrower and Guarantor as of the dates and for the periods indicated. There has been no Material Adverse Effect since the dates of such financial statements as delivered.

8.10 No Defaults; No Subordinate Financing

No Event of Default or event that, with notice or lapse of time or both, would constitute an Event of Default exists under the Loan Documents. Borrower has no subordinate or mezzanine financing, preferred equity or other indebtedness secured by the Property or any direct or indirect interest in Borrower, and has granted no lien on or security interest in any Collateral other than the Permitted Exceptions.

8.11 Zoning; Permits; Compliance with Laws

The Property is zoned GB (General Business) under the zoning ordinance of the City of Charleston, and the current and contemplated use of the Property complies with such zoning. All permits, certificates of occupancy, licenses and approvals required for the current use and occupancy of the Property and for the renovation have been obtained or will be obtained in accordance with Section 7.10. Borrower is in compliance with all applicable laws, ordinances, codes, orders and regulations relating to the Property and its business, including without limitation all zoning, building, fire, health, safety, accessibility and Environmental Laws.

8.12 Construction Contract

The Construction Contract is in full force and effect and has not been amended, and no default exists thereunder by Borrower or, to Borrower’s knowledge, by the Contractor. The Contractor holds all licenses, permits and insurance required for the renovation, including South Carolina General Contractor License No. SC-GC-47921.

8.13 Taxes

All real property taxes, assessments and governmental charges affecting the Property for all periods prior to the current year have been paid in full, and no delinquent taxes, tax liens or pending tax sales exist with respect to the Property.

8.14 Survival

The representations and warranties set forth in this Article 8 shall survive the Closing Date, the making of the Loan and any foreclosure, sale or transfer of the

Property, and shall be deemed remade as of the date of each advance under the Loan Documents.

ARTICLE 9 — AFFIRMATIVE COVENANTS

Borrower covenants and agrees with Lender that, from the Closing Date and until the Obligations have been paid and performed in full, Borrower shall:

9.1 Payment and Performance

Pay and perform, when due, all of the Obligations and all of its obligations under the Loan Documents and the Leases, and maintain the Property in compliance with all covenants, conditions and restrictions affecting the Property, including the Permitted Exceptions, the LUR, the Leases and the Construction Contract.

9.2 Maintenance and Repairs

Maintain the Property, including all Improvements, fixtures, building systems, common areas, landscaping, parking areas and the vacated Anson Lane strip, in good order, condition and repair, consistent with the standards of comparable mixed-use commercial properties in the Charleston, South Carolina metropolitan area, and promptly make all repairs, renewals, replacements and restorations necessary to preserve the value and utility of the Property. Borrower shall not commit or permit any waste of the Property or any portion thereof, and shall not remove, demolish or alter any Improvement except in connection with the renovation or as permitted by Section 10.7.

9.3 Compliance with Laws

Comply at all times with all applicable federal, state and local laws, rules, regulations, orders, ordinances and governmental requirements applicable to the Property and the conduct of Borrower’s business, including without limitation all zoning, building, fire, health, safety, accessibility and Environmental Laws, and all covenants, conditions and restrictions of record affecting the Property. Borrower shall not use or permit the use of the Property for any purpose that would violate any such requirement, any Permitted Exception or any Lease, and shall not permit the Property to be used for any residential purpose on the ground floor of Lot 7.

9.4 Taxes and Assessments

Pay and discharge before delinquency all real property taxes, assessments, water and sewer charges, license fees and other governmental charges imposed upon the Property or upon the Obligations, except to the extent such amounts are being paid from the Tax and Insurance Escrow Account or are being contested by Borrower in good faith by appropriate proceedings diligently conducted, provided that Borrower has furnished such security as Lender may reasonably require. Borrower shall deliver to Lender copies of all tax bills and notices of assessment within ten (10) days after receipt and shall notify Lender of any pending or proposed tax reassessment or appeal affecting the Property.

9.5 Insurance

Maintain at all times the insurance required by Article 11, with financially sound and reputable insurers acceptable to Lender, and deliver to Lender the certificates of insurance, endorsements and other evidence required by Article 11.

9.6 Leasing Covenant

Use commercially reasonable efforts to lease all vacant space at the Property (including Bay 2 and 2nd Floor Suite B) at market rents, on terms consistent with those prevailing for comparable mixed-use commercial properties in the Charleston, South Carolina metropolitan area, and on terms reasonably acceptable to Lender. All new Leases, and all modifications, extensions and renewals of existing Leases, for premises in excess of five thousand (5,000) square feet or for terms exceeding five (5) years (including any renewal or extension option) shall require Lender’s prior written consent, which consent shall not be unreasonably withheld, conditioned or delayed. Borrower shall not enter into any Lease that (a) violates, or would permit the violation of, the LUR, (b) violates any exclusive use or right of first refusal granted to an existing tenant, including the exclusive use granted to Lowcountry Provisions Inc. as specialty grocery and the right of first refusal granted to Harmon & Wren Design Studio LLC with respect to Bay 2, (c) provides for rent payable more than one (1) month in advance, or (d) contains any option to purchase, right of first refusal to purchase or right of first offer to purchase the Property or any portion thereof. Borrower shall deliver to Lender a copy of each proposed Lease and such credit and other information as Lender may reasonably request at least ten (10) Business Days prior to execution of any Lease requiring Lender’s consent.

9.7 Estoppel Certificates and SNDAs

Deliver to Lender, within fifteen (15) days after Lender’s written request, estoppel certificates and, where requested by Lender, subordination, non-disturbance and attornment agreements from each tenant under the Leases, in form and substance reasonably satisfactory to Lender, and use commercially reasonable efforts to obtain from each tenant under the Leases such further consents to the assignment of Leases and Rents as Lender may reasonably request. Borrower shall promptly notify Lender of any request for estoppel received from any actual or prospective mortgagee or purchaser of the Property and shall respond to such request within the time required by the applicable Lease.

9.8 Financial Reporting

Deliver to Lender the financial statements, rent rolls, operating statements, leases and other reports required by Section 13.3, in each case in the form and within the time periods specified therein.

9.9 Financial Covenants

Maintain compliance at all times with the financial covenants set forth in Article 13.

9.10 Books and Records; Inspection

Keep adequate books of account and records in accordance with GAAP, and permit Lender and its agents, accountants and representatives to examine, audit and make copies of such books and records and to inspect the Property at reasonable times and upon reasonable prior notice.

9.11 Further Assurances

Execute, acknowledge, deliver, file, record and re-record such further instruments and take such further actions as Lender may reasonably request to carry out the purposes of the Loan Documents, including without limitation the Operating Agreement Amendment, UCC continuation statements, title affidavits, gap indemnities, consents to assignment, subordination agreements and zoning reports.

9.12 Appraisals

Permit Lender, at Borrower’s expense, to obtain an appraisal or appraisal update of the Property (a) at any time after the occurrence and during the continuance of an Event of Default, and (b) otherwise no more frequently than once in any twelve (12) month period, or more frequently if required by applicable law or regulation. Borrower shall cooperate with any appraiser retained by Lender and shall provide access to the Property and all information reasonably requested.

9.13 Notice of Certain Events

Promptly notify Lender in writing (and in any event within five (5) Business Days) of (a) any Event of Default or any event that, with notice or lapse of time or both, would constitute an Event of Default, (b) any material default by any tenant under a Lease or any tenant bankruptcy, insolvency or vacating of premises, (c) any litigation, arbitration or governmental proceeding affecting the Property, Borrower or Guarantor that would reasonably be expected to have a Material Adverse Effect, (d) any casualty, condemnation, violation notice, lien, encumbrance or tax reassessment affecting the Property, (e) any notice, order or communication from SCDHEC or any other governmental authority relating to the LUR or the environmental condition of the Property, (f) any change in the identity of any Member, the Managing Member, the general partner of any Member, or any manager or officer of Borrower, and (g) any change in Borrower’s name, state of organization, organizational identification number, Federal Employer Identification Number, principal place of business or registered agent.

9.14 Advances by Lender

Pay to Lender on demand all amounts expended by Lender pursuant to this Mortgage, the other Loan Documents or applicable law, including without limitation amounts paid for taxes, insurance, repairs, maintenance, environmental remediation, completion of the renovation, liens, inspections, appraisals and enforcement costs, together with interest thereon at the Default Rate from the date of expenditure until repaid. All such amounts shall constitute advances secured by this Mortgage, and Lender’s payment thereof shall not cure any default or waive any right of Lender.

9.15 Protection of Lender’s Interest

Take all actions necessary to preserve and protect the lien of this Mortgage, the Assignment of Leases and Rents and Lender’s security interests in the Collateral, including the filing and continuation of financing statements, the payment of recording and filing fees, and the defense of any claim that would impair Lender’s interest.

9.16 Registered Agent; Good Standing

Maintain its existence and good standing in the State of South Carolina and in each other jurisdiction in which qualification is required, and maintain a registered agent for service of process in the State of South Carolina.

ARTICLE 10 — NEGATIVE COVENANTS

Borrower covenants and agrees with Lender that, from the Closing Date and until the Obligations have been paid and performed in full, Borrower shall not, without Lender’s prior written consent:

10.1 No Subordinate Financing

Incur, create, assume, permit to exist or suffer any lien, mortgage, deed of trust, security interest, pledge, encumbrance, charge or other financing arrangement secured by the Property or any portion thereof or by any direct or indirect interest in Borrower, or any subordinate, mezzanine, preferred equity or other indebtedness of Borrower, whether secured or unsecured. This Section 10.1 applies to all forms of indebtedness and financing arrangements, including mezzanine loans, preferred equity interests, ground leases, sale-leaseback transactions, synthetic leases and any other arrangement that may affect Lender’s collateral position or priority.

10.2 Transfer Restrictions

(a) Sell, convey, transfer, assign, pledge, mortgage, encumber or otherwise dispose of the Property or any portion thereof or any interest therein, or any interest in the Collateral.

(b) Permit any transfer of direct or indirect ownership interests in Borrower, or any change of control of Borrower or of any Member that constitutes a Controlling Member, except that the following transfers (collectively, “**Permitted Transfers**”) shall be permitted without Lender’s consent, provided that no Event of Default exists and Borrower gives Lender at least thirty (30) days’ prior written notice:

(c) a transfer of direct membership interests in Borrower that does not exceed ten percent (10%) individually or twenty-five percent (25%) in the aggregate (measured cumulatively from the Closing Date) and that does not result in any Person or group of Persons acquiring control of Borrower;

(ii) a transfer by a Member that is a passive investor holding less than twenty percent (20%) of the membership interests in Borrower to an Affiliate of

such Member, provided that the transferee executes a joinder to the Operating Agreement and the Members' Consent and remains subject to the restrictions of Article 14; and

(iii) a transfer of direct membership interests among the existing Members occurring after the date hereof that does not (A) increase the aggregate direct or indirect interest of Graydon Development Group LLC and Guarantor in Borrower above seventy-two percent (72%), (B) reduce the direct or indirect interest of Graydon Development Group LLC in Borrower below fifty-one percent (51%), (C) result in any Person other than Graydon Development Group LLC serving as Managing Member, or (D) otherwise result in a change of control of Borrower.

(iv) Permit any change of control of any Member that is a Controlling Member, including without limitation any transfer of the direct or indirect ownership interests in Graydon Development Group LLC, any change in the identity of the general partner of Tidewater Opportunity Fund II LP, any transfer of membership interests in Borrower to a "successor fund" or similar vehicle under Section 4.2(c) of the Operating Agreement, or any merger, consolidation or reorganization of any Member, in each case without Lender's prior written consent.

(v) For purposes of this Section 10.2, "**Controlling Member**" means Graydon Development Group LLC and any other Member that, together with its Affiliates, holds directly or indirectly fifty percent (50%) or more of the membership interests in Borrower or has the right to designate the Managing Member, and "**control**" has the meaning given to such term in the Operating Agreement.

(e) Any transfer in violation of this Section 10.2 shall be void ab initio, shall constitute an Event of Default under Section 16.1(k) without any notice or cure period, and shall entitle Lender to accelerate the Obligations, to impose the Default Rate and to exercise all other remedies under the Loan Documents and applicable law.

(f) Borrower acknowledges that (i) Section 4.1 of the Operating Agreement restricts transfers of membership interests but does not address changes in the internal or upstream ownership, management or control of any Member, and (ii) Section 4.2(c) of the Operating Agreement permits transfers by Tidewater Opportunity Fund II LP to any "successor fund" managed by Tidewater GP Holdings LLC or its Affiliates without the consent of any other Member. Borrower shall cause the Operating Agreement Amendment to eliminate or subordinate such provisions to the restrictions set forth in this Section 10.2, and shall not permit any transfer that would be inconsistent with this Section 10.2, whether or not such transfer is permitted under the Operating Agreement.

10.3 No Amendment or Termination of Leases or Material Contracts

Amend, modify, restate, extend, renew, terminate, accept a surrender of or waive any material right under (a) any Lease, except renewals or extensions that do not require Lender's consent under Section 9.6 and that are on market terms, or (b) the Construction Contract, the plans and specifications, the Renovation Budget or any other material contract relating to the Property, except as permitted by Section 7.6.

10.4 No Dissolution, Merger or Change of Business

Dissolve, liquidate, wind up, merge, consolidate, convert or reorganize, or change the nature of its business or its organizational form or jurisdiction of organization, or amend its articles of organization or Operating Agreement in any manner that would adversely affect Lender, the Property or the Collateral, or that would alter, eliminate or weaken any single-purpose entity, separateness, Independent Manager or bankruptcy-remoteness provision required by Article 14. Borrower shall not amend, modify or waive any provision of the Operating Agreement relating to single-purpose entity status, separateness, the Independent Manager, restrictions on bankruptcy filings, dissolution, merger or transfers without Lender's prior written consent in each instance.

10.5 No Bankruptcy Filing Without Independent Manager Consent

Commence any voluntary case or proceeding under the United States Bankruptcy Code or any other federal or state bankruptcy, insolvency, receivership, reorganization, liquidation or similar law, consent to the appointment of a receiver, trustee or custodian, make an assignment for the benefit of creditors, or admit in writing its inability to pay its debts generally as they become due, unless such action has been approved in advance by the affirmative vote of the Independent Manager and by Lender. Borrower shall include in its Operating Agreement a provision requiring the unanimous written consent of the Independent Manager and the Managing Member before any such action may be taken.

10.6 No Change in Identity or Location

Change its name, its form of organization, its state of organization, its organizational identification number, its Federal Employer Identification Number, its principal place of business, its chief executive office or its registered agent, or take any action that would render any UCC financing statement filed by Lender seriously misleading, without giving Lender at least thirty (30) days' prior written notice and executing such amendments and new financing statements as Lender may require.

10.7 No Alterations or Removal of Fixtures

Make any structural alteration to, or demolish or remove any material portion of, the Improvements (other than the renovation in accordance with Article 7), or remove, detach or permit the removal or detachment of any fixture, building system or item of equipment from the Property, except for the replacement thereof with items of equal or greater value and utility that are free of liens and become subject to the lien of this Mortgage.

10.8 No Change of Use; No Residential Use

Change the use of the Property from mixed-use retail and office use, or use or permit the use of the ground floor of Lot 7 (Bay 1, Tax Map No. 460-12-04-007) for any residential purpose, or apply for, consent to or permit any rezoning, variance, special exception, conditional use approval or change in the zoning of the Property that would permit residential use of the ground floor of Lot 7 or would otherwise adversely affect the Property or Lender’s interest.

10.9 No Hazardous Materials

Cause or permit any Hazardous Materials to be brought onto, stored, used, generated, treated, released or disposed of at, on, under or from the Property, except for de minimis quantities of customary cleaning supplies and office supplies used in compliance with Environmental Laws, and Hazardous Materials used in the ordinary course of construction in compliance with Section 10.10.

10.10 Construction Materials

Bring onto the Property, use in the renovation or store at the Property any Hazardous Materials (including without limitation solvents, adhesives, sealants, refrigerant and fuel) except in compliance with all Environmental Laws, in quantities customary for the work being performed, and with all required notifications, permits and disposal arrangements.

10.11 No Partition or Joint Assessment

Seek or permit any partition of the Property, any subdivision of the Land, or any separate assessment of any portion of the Property, without Lender’s prior written consent.

ARTICLE 11 — INSURANCE

11.1 Property Insurance

Borrower shall maintain at all times during the term of the Loan comprehensive all-risk (special form) property insurance covering the Property and all Improvements, on a replacement cost basis, with an agreed amount endorsement (waiver of coinsurance) and without any deductible exceeding Twenty-Five Thousand and No/100 Dollars ($25,000.00) except for windstorm deductibles not exceeding five percent (5%) of the insured value. Coverage shall include, without limitation, fire, windstorm, hail, explosion, riot, civil commotion, vandalism, malicious mischief, sprinkler leakage, water damage, and such other perils as Lender may reasonably require. Each policy shall name Lender as mortgagee and loss payee pursuant to a standard mortgagee clause, shall be non-contributory and shall provide that Lender’s interest shall not be invalidated by any act or neglect of Borrower or any tenant.

11.2 Commercial General Liability

Borrower shall maintain commercial general liability insurance with minimum limits of Two Million and No/100 Dollars ($2,000,000.00) per occurrence and Five Million and No/100 Dollars ($5,000,000.00) in the aggregate, naming Lender as an

additional insured. Such insurance shall include coverage for premises liability, operations liability, products and completed operations, personal and advertising injury, contractual liability (including the insured contract coverage applicable to the Loan Documents) and, during the Renovation Period, construction and completed operations coverage.

11.3 Flood Insurance

Borrower shall maintain flood insurance on the Property in an amount not less than Five Million and No/100 Dollars ($5,000,000.00), naming Lender as mortgagee and loss payee. Borrower acknowledges that (a) the Property is located in FEMA Flood Zone X (area of minimal flood hazard) and that federally mandated flood insurance is therefore not required for the Property, and (b) notwithstanding the foregoing, Lender requires flood insurance as an express condition of the Loan, and the failure to maintain such coverage shall constitute an Event of Default under Section 16.1(f) irrespective of any federal flood insurance requirement.

11.4 Builder’s Risk Insurance

During the Renovation Period, Borrower shall maintain builder’s risk insurance (including, at Lender’s election, a completed value form or installation floater as appropriate) in an amount not less than the full Renovation Budget of Three Million One Hundred Fifty Thousand and No/100 Dollars ($3,150,000.00), on a replacement cost basis, covering the Property and the renovation work against all risks of physical loss or damage during the course of construction, including without limitation fire, lightning, windstorm, hail, vandalism, malicious mischief, theft, flood and earthquake (if reasonably required by Lender), and with soft costs, expediting expense and false work coverage reasonably acceptable to Lender. Such insurance shall name Lender as mortgagee and loss payee and shall include a waiver of subrogation in favor of Lender and the Contractor. Upon Substantial Completion, the builder’s risk coverage may be terminated, provided that the property insurance required by Section 11.1 is then in full force and effect with respect to the completed renovation.

11.5 Workers’ Compensation; Umbrella Liability

Borrower shall maintain (a) workers’ compensation insurance in the amounts required by the laws of the State of South Carolina, covering all employees of Borrower and, to the extent not covered under the Contractor’s policies, all persons engaged in the renovation of the Property, and employer’s liability insurance with limits of not less than Five Hundred Thousand and No/100 Dollars ($500,000.00), and (b) umbrella or excess liability insurance in an amount not less than Five Million and No/100 Dollars ($5,000,000.00), providing excess coverage over the commercial general liability, automobile liability and employers’ liability policies.

11.6 General Insurance Requirements

All insurance required under this Article 11 shall (a) be issued by insurers licensed to do business in the State of South Carolina and having an A.M. Best rating of not less than A-:VII or an equivalent rating acceptable to Lender, (b) contain a

provision requiring not less than thirty (30) days' prior written notice to Lender of cancellation, non-renewal, reduction in coverage or material modification (and ten (10) days' notice for non-payment of premium), (c) be primary and non-contributory with any insurance maintained by Lender, and (d) be maintained at Borrower's sole cost and expense. Borrower shall deliver to Lender certificates of insurance and, upon request, certified copies of the policies and endorsements, on or before the Closing Date and at least thirty (30) days prior to each policy expiration. If Borrower fails to maintain any required insurance, Lender may (but shall not be obligated to) obtain such insurance and the cost thereof shall constitute an advance under Section 9.14.

11.7 Application of Insurance Proceeds

All insurance proceeds shall be applied in accordance with Article 15.

ARTICLE 12 — ENVIRONMENTAL MATTERS AND LAND USE RESTRICTION

12.1 Compliance with Environmental Laws

Borrower shall comply, and shall cause all tenants, contractors, agents and occupants of the Property to comply, with all Environmental Laws, and shall not cause or permit any violation of any Environmental Law, any release of Hazardous Materials or any condition that would reasonably be expected to require remediation, investigation or reporting under any Environmental Law. Borrower shall keep the Property free of any lien imposed under any Environmental Law.

12.2 Covenants Regarding the Land Use Restriction

Borrower acknowledges that the LUR is a recorded institutional control that runs with the land, that the "No Further Action" determination by SCDHEC dated August 12, 2021 (Site ID SC-29403-0772) is contingent upon continued compliance with the LUR, and that a breach of the LUR could result in SCDHEC reopening the site, requiring additional investigation or remediation, or taking other regulatory action at Borrower's expense. Accordingly, Borrower covenants that it shall:

(a) not use, convert, lease for, permit or suffer the use of the ground floor of Lot 7 (Bay 1, Tax Map No. 460-12-04-007, comprising approximately 3,800 square feet) for any residential purpose, and shall not permit any Lease, occupancy agreement or other arrangement to authorize any such residential use;

(b) maintain, in good condition and working order, the vapor barrier system installed beneath the concrete floor slab of Bay 1, and not penetrate, remove, damage, compromise, cover in a manner that impairs access for inspection, or otherwise alter such vapor barrier without the prior written approval of SCDHEC and Lender;

(c) cause the vapor barrier to be inspected by a licensed environmental professional (i) prior to the commencement of any renovation or construction activity affecting the Bay 1 floor slab, (ii) promptly following

completion of any such activity, and (iii) otherwise not less than once every twelve (12) months during the term of the Loan, and deliver each inspection report to Lender within ten (10) Business Days after receipt;

(d) notify SCDHEC in writing in advance of any work affecting the Bay 1 floor slab and comply with all conditions imposed by SCDHEC in connection therewith;

(e) comply with all terms, conditions and reporting obligations of the LUR and all orders, directives and requirements of SCDHEC relating to the Property, and maintain all records required thereby;

(f) not seek, consent to, request or permit any modification, amendment, termination, release or vacation of the LUR, or any change in the institutional controls, without Lender’s prior written consent; and

(g) promptly deliver to Lender copies of all correspondence, inspection reports, sampling data, notices of violation and other communications with SCDHEC or any environmental consultant relating to the Property or the LUR.

12.3 No Reliance on Phase I Report

Borrower acknowledges that the Phase I Report did not include sampling or analysis of soil, groundwater, surface water, air or building materials, that no Phase II Environmental Site Assessment was performed, and that Lender’s waiver of a Phase II assessment (as documented in correspondence dated January 22, 2025 between Lender and Clearfield Environmental Consulting LLC) does not constitute a representation by Lender as to the environmental condition of the Property.

12.4 Environmental Indemnity

Borrower acknowledges that the Environmental Indemnity is a separate Loan Document executed by Borrower and Guarantor, that the obligations thereunder are independent of, and in addition to, the obligations set forth in this Article 12, and that the Environmental Indemnity shall survive the foreclosure of this Mortgage, the acceptance of a deed in lieu of foreclosure, the repayment of the Loan and the release or reconveyance of this Mortgage. Nothing in this Mortgage, and no exercise of any right or remedy by Lender (including any foreclosure, receivership, entry upon the Property or exercise of Lender’s rights as mortgagee in possession), shall operate as a release of Borrower or Guarantor from the Environmental Indemnity or from liability under any Environmental Law.

12.5 Notice of Release; Lender’s Remediation Rights

Borrower shall notify Lender immediately upon becoming aware of (a) any release, threatened release or disposal of Hazardous Materials at, on, under or from the Property, (b) any notice of violation, information request, order or claim under any Environmental Law, or (c) any condition that would reasonably be expected to result in liability under any Environmental Law. If any such condition exists and Borrower fails to commence and diligently pursue remediation in accordance with applicable law and the requirements of the applicable governmental authority

within the period required thereby, Lender may (but shall have no obligation to) cause such remediation to be performed, and all costs thereof shall constitute advances under Section 9.14 secured by this Mortgage.

12.6 Tenant and Contractor Compliance

Borrower shall cause each Lease entered into after the Closing Date to contain a prohibition on the storage, use, generation or disposal of Hazardous Materials at the Property other than customary cleaning and office supplies and materials used in the ordinary course of the tenant's permitted use, and shall cause the Contractor and all subcontractors to comply with all Environmental Laws and with the requirements of Section 7.9 in performing the renovation.

12.7 Survival

The covenants and obligations set forth in this Article 12 shall survive the repayment of the Loan, the release or reconveyance of this Mortgage and any foreclosure, sale or transfer of the Property.

ARTICLE 13 — FINANCIAL COVENANTS AND REPORTING

13.1 Debt Service Coverage Ratio

(a) Borrower shall maintain a DSCR of not less than 1.25 to 1.00 as of each DSCR Test Date, commencing with the calendar quarter ending June 30, 2027.

(b) "**DSCR**" means, as of any DSCR Test Date, the ratio of (i) Net Operating Income for the twelve (12) month period ending on such DSCR Test Date, to (ii) Annual Debt Service for such period.

(c) "**Net Operating Income**" means, for any period, the excess of (i) the aggregate gross revenues of the Property for such period actually received or accrued in accordance with GAAP, including base rent, additional rent, expense reimbursements, percentage rent, parking income, and other income, but excluding security deposits (unless applied in accordance with the applicable Lease), lease termination payments, proceeds of insurance or condemnation, capital contributions, loans and other non-recurring items, over (ii) the aggregate operating expenses of the Property for such period determined in accordance with GAAP, including real property taxes, insurance premiums, utilities, repairs and maintenance, management fees (which, for purposes of this definition, shall be deemed not to exceed four percent (4%) of gross revenues), common area maintenance, leasing costs, and reserves for capital expenditures, but excluding (A) debt service, (B) interest, late charges, default interest and prepayment premiums, (C) income and franchise taxes, (D) depreciation, amortization and other non-cash charges, (E) capital expenditures, (F) any expense paid from a Reserve Account or from the Renovation Holdback, and (G) any non-recurring or extraordinary expense, except that, for the avoidance of doubt, tenant improvements and leasing commissions funded in the ordinary course shall be treated as operating expenses.

(d) If the Loan is not fully disbursed during all or any portion of the applicable period, Annual Debt Service shall be calculated as if the full principal amount of $14,750,000.00 had been outstanding throughout such period.

(e) Net Operating Income and Annual Debt Service shall be determined by Lender based upon the quarterly and annual financial statements and rent rolls delivered under Section 13.3 and such other information as Lender may reasonably request, and Lender’s determination shall be conclusive absent manifest error.

13.2 Net Worth and Liquidity Covenants

Borrower shall maintain at all times, tested annually based upon the financial statements and certifications delivered under Section 13.3: (a) a net worth of not less than One Million and No/100 Dollars ($1,000,000.00); and (b) liquid assets (defined as cash, cash equivalents, marketable securities and unencumbered deposits held at federally insured depository institutions) of not less than Five Hundred Thousand and No/100 Dollars ($500,000.00).

13.3 Financial Reporting Requirements

Borrower shall deliver to Lender:

(a) Annual audited financial statements of Borrower, prepared in accordance with GAAP by an independent certified public accounting firm acceptable to Lender, within one hundred twenty (120) days after the end of each fiscal year of Borrower;

(b) an annual personal financial statement of Guarantor, in form and detail satisfactory to Lender, within one hundred twenty (120) days after the end of each calendar year, together with such supporting documentation as Lender may reasonably request;

(c) quarterly rent rolls for the Property, certified by Borrower as true, correct and complete and showing, for each space, the tenant, premises, square footage, lease commencement and expiration dates, base rent, escalations, security deposit, renewal options, rights of first refusal and delinquency status, within thirty (30) days after the end of each calendar quarter;

(d) annual property operating statements for the Property, including a detailed income and expense report and a comparison to budget, within one hundred twenty (120) days after the end of each fiscal year of Borrower;

(e) copies of all Leases, lease amendments, side letters, guaranties, estoppel certificates and SNDAs executed by Borrower with respect to the Property, within ten (10) Business Days after execution;

(f) copies of all tax bills, insurance certificates, business licenses and certificates of occupancy relating to the Property, promptly upon Lender’s request; and

(g) such other financial and operating information as Lender may reasonably request from time to time.

13.4 Compliance Certificate

Together with each delivery of financial statements under Section 13.3(a), (b) and (d), Borrower shall deliver to Lender a compliance certificate, executed by an authorized officer or the Managing Member of Borrower, setting forth (a) reasonably detailed calculations demonstrating compliance with the covenants in Sections 13.1 and 13.2 as of the applicable DSCR Test Date or fiscal year end, (b) a statement that no Event of Default exists or, if any exists, describing the nature and period of existence thereof and the action taken or proposed to be taken with respect thereto, and (c) the then-current occupancy of the Property by square footage and by unit.

13.5 DSCR Shortfall; Cure

If the DSCR is less than 1.25 to 1.00 as of any DSCR Test Date, Borrower may, within thirty (30) days after the date on which the applicable compliance certificate is due, cure such shortfall by depositing with Lender, in an interest-bearing account controlled by Lender as additional Collateral, an amount equal to the excess of (a) 1.25 multiplied by Annual Debt Service for the applicable period, over (b) Net Operating Income for such period. Amounts so deposited shall be held as additional Collateral and shall be released to Borrower upon achievement of a DSCR of not less than 1.25 to 1.00 as of any two (2) consecutive DSCR Test Dates and the absence of any Event of Default, and shall otherwise be applied to the Obligations in accordance with Section 6.5(b). No deposit under this Section 13.5 shall be deemed to cure a breach of any other covenant, and no more than two (2) such deposits may be made during the term of the Loan. A failure to cure a DSCR shortfall in accordance with this Section 13.5, together with a DSCR of less than 1.25 to 1.00 as of two (2) consecutive DSCR Test Dates, shall constitute an Event of Default under Section 16.1(g).

13.6 Interpretation of Financial Covenants

The financial covenants in this Article 13 are intended to measure the performance of the Property and of Borrower based on the definitions set forth herein, and shall be calculated without regard to any inconsistent treatment of Net Operating Income under GAAP. Lender shall not be deemed to have waived any breach of a financial covenant by reason of its acceptance of a compliance certificate or its failure to object to any calculation.

ARTICLE 14 — SINGLE-PURPOSE ENTITY AND SEPARATENESS

14.1 Single-Purpose Entity Status

Borrower shall at all times maintain its status as a single-purpose entity and shall not engage in any business or activity other than the ownership, operation, renovation, leasing, management and disposition of the Property and activities incidental thereto. Borrower’s sole purpose, as reflected in its organizational

documents, shall be limited to such activities, and Borrower shall not amend its articles of organization or Operating Agreement to broaden such purpose.

14.2 Separateness Covenants

Borrower shall at all times:

(a) maintain its own separate books of account, financial records and bank accounts, separate and apart from those of any other Person;

(b) not commingle its funds or assets with those of any Member, Affiliate, manager or other Person;

(c) hold itself out to the public as a legal entity separate and distinct from any other Person, including its Members and Affiliates, and conduct its business in its own name, using its own stationery, invoices and checks;

(d) maintain adequate capitalization in light of its contemplated business operations, transactions and liabilities;

(e) not incur any additional indebtedness, whether secured or unsecured, without Lender’s prior written consent;

(f) not guarantee or become obligated for the debts of any other Person, and not hold out its credit as being available to satisfy the obligations of any other Person;

(g) pay its own liabilities and expenses from its own assets and maintain arm’s-length relationships with its Members and Affiliates, and enter into transactions with Affiliates only on arm’s-length terms;

(h) maintain its assets in such a manner that it is not costly or difficult to segregate, ascertain or identify its individual assets from those of any Member, Affiliate or other Person;

(i) not pledge its assets for the benefit of any other Person, and not make any loans or advances to any Person;

(j) observe all limited liability company formalities and allocate fairly and reasonably any overhead expenses shared with any Affiliate; and

(k) maintain a separate office, or a separately identified portion of a shared office, and a separate telephone number and email address.

14.3 Independent Manager

(a) Borrower shall cause its Operating Agreement to require, at all times, the appointment and continuance of an Independent Manager whose affirmative written consent, together with the consent of the Managing Member, shall be required before Borrower may (i) file a voluntary petition under the United States Bankruptcy Code or any state insolvency, receivership or reorganization law, (ii) consent to or fail to contest in a timely manner any involuntary petition filed against it, (iii) admit in writing its inability to pay

its debts generally as they become due, (iv) make an assignment for the benefit of creditors, (v) dissolve, liquidate, wind up, merge, consolidate or sell all or substantially all of its assets, or (vi) amend, alter or repeal any single-purpose entity, separateness or bankruptcy-remoteness provision of its organizational documents.

(b) Borrower shall not, and shall cause the Members not to, remove or replace the Independent Manager, or amend the Independent Manager provisions of the Operating Agreement, without Lender's prior written consent.

(c) Borrower shall deliver to Lender, upon request, evidence of the identity and qualifications of the Independent Manager and of the Independent Manager's written consent to serve.

14.4 Member Consent Required

Borrower shall cause each Member to execute and deliver the Operating Agreement Amendment and the Members' Consent set forth at the end of this Mortgage, pursuant to which each Member agrees to be bound by the single-purpose entity and separateness restrictions set forth in this Article 14, and agrees that it shall not vote for, consent to or take any action to cause the bankruptcy, insolvency, dissolution, liquidation, merger, consolidation or sale of Borrower or the Property in violation of this Mortgage without Lender's prior written consent and, where applicable, the Independent Manager's consent.

14.5 No Amendment of Organizational Documents

Borrower shall not amend, modify, restate, waive or repeal any provision of its articles of organization or Operating Agreement relating to single-purpose entity status, separateness, the Independent Manager, restrictions on transfers, restrictions on bankruptcy filings, dissolution or merger without Lender's prior written consent in each instance, and shall deliver to Lender a copy of any permitted amendment within five (5) Business Days after its execution.

14.6 Acknowledgment of Existing Deficiencies

Borrower acknowledges that, as of the date of the redacted summary of the Operating Agreement provided to Lender by Borrower's counsel, the Operating Agreement (a) contained no Independent Manager or independent director provision, (b) contained no separateness covenants and no requirement that Borrower maintain its existence as a single-purpose entity separate and apart from its Members, (c) contained no provision conditioning dissolution, merger or bankruptcy filing upon the consent of any independent party or lender, (d) contained a broad "any lawful business" purpose catch-all in Section 1.4 of the Operating Agreement, and (e) did not contain any change-of-control provision addressing upstream or indirect transfers of interests in any Member. Borrower covenants that the Operating Agreement Amendment, executed by Borrower and all Members and delivered as a condition to the initial advance under Section 20.1, cures each such deficiency.

ARTICLE 15 — CASUALTY AND CONDEMNATION

15.1 Notice

Borrower shall give Lender prompt written notice of any casualty affecting the Property or any portion thereof, or of any actual or threatened condemnation, taking or exercise of the power of eminent domain affecting the Property or any portion thereof, together with such information as Lender may reasonably request.

15.2 Restoration

If the Property is damaged by casualty or taken by condemnation, Borrower shall, subject to Lender's rights under this Article 15, promptly and diligently repair, restore and rebuild the Property to a condition at least equal to its condition immediately prior to such casualty or taking, in accordance with plans and specifications approved by Lender and in compliance with all applicable laws and the LUR, including the requirements of Section 7.9 with respect to any work affecting the Bay 1 floor slab. Borrower shall obtain and maintain the insurance required by Article 11 and any applicable builder's risk coverage during any restoration.

15.3 Application of Proceeds

(a) If the amount of insurance proceeds or condemnation awards, together with all other funds available for restoration, is less than One Million and No/100 Dollars ($1,000,000.00), and no Event of Default exists, such proceeds or awards shall be paid to Borrower and applied to the restoration of the Property, provided that Lender may require that such amounts be held in escrow by Lender and disbursed in accordance with a restoration budget approved by Lender.

(b) If such amount is equal to or greater than $1,000,000.00, or if an Event of Default exists, or if the Property cannot in Lender's reasonable judgment be economically restored, or if the restoration would not be completed at least twelve (12) months prior to the Maturity Date, Lender may elect to apply such proceeds or awards, at its option, (i) to the restoration of the Property in accordance with a budget and disbursement procedure approved by Lender, or (ii) to the payment of the Obligations, whether or not then due, in the order of priority set forth in Section 5.5.

(c) Any application of insurance proceeds or condemnation awards to the Obligations under Section 15.3(b)(ii) shall be made without payment of any prepayment premium, Yield Maintenance Premium or penalty, notwithstanding anything to the contrary in Article 5.

(d) Borrower hereby irrevocably assigns to Lender all insurance proceeds and condemnation awards relating to the Property, and appoints Lender as its attorney-in-fact, coupled with an interest, to endorse any check or draft representing such proceeds or awards and to take all actions necessary to collect, settle and apply the same.

15.4 Lender’s Right to Apply; Third-Party Interests

Lender may apply any proceeds or awards it receives to any restoration or to the Obligations notwithstanding any objection by Borrower, Guarantor, any tenant or any other Person. No tenant under any Lease shall have any right to any portion of any insurance proceeds or condemnation award except as expressly provided in such Lease and approved in writing by Lender.

ARTICLE 16 — EVENTS OF DEFAULT

16.1 Events of Default

Each of the following shall constitute an “**Event of Default**” under this Mortgage and the other Loan Documents:

(a) **Payment.** Failure by Borrower to make any payment of principal, interest, the Yield Maintenance Premium, a late charge or any other amount due under the Loan Documents when due, subject to the cure period set forth in Section 16.2(a);

(b) **Covenant Default.** Breach by Borrower of any covenant, agreement or obligation contained in this Mortgage or in any other Loan Document (other than a breach described in any other clause of this Section 16.1), continuing beyond the applicable cure period set forth in Section 16.2(b);

(c) **Misrepresentation.** Any representation or warranty made by Borrower or Guarantor in any Loan Document, or in any certificate or report delivered in connection therewith, proving to be materially false, misleading or inaccurate in any material respect when made or deemed made;

(d) **Bankruptcy; Insolvency.** The filing by Borrower or Guarantor of a voluntary petition under the United States Bankruptcy Code or any state insolvency, receivership or reorganization law, the consent by Borrower or Guarantor to the appointment of a receiver, trustee or custodian for any substantial part of its property or assets, any assignment for the benefit of creditors by Borrower or Guarantor, the admission in writing by Borrower or Guarantor of its inability to pay its debts generally as they become due, or the filing of an involuntary petition against Borrower or Guarantor that is not dismissed within sixty (60) days, or the appointment of a receiver, trustee or custodian for any substantial part of the property or assets of Borrower or Guarantor that is not discharged within sixty (60) days;

(e) **Cross-Default.** A default by Borrower or Guarantor under any other indebtedness for borrowed money in an amount exceeding Two Hundred Fifty Thousand and No/100 Dollars ($250,000.00), individually or in the aggregate, which default is not cured within any applicable cure or grace period, or the acceleration of any such indebtedness;

(f) **Insurance.** Failure by Borrower to maintain any insurance required under Article 11 or to deliver the certificates and endorsements required by Section 11.6, subject to the cure period set forth in Section 16.2(d);

(g) **DSCR.** The DSCR being less than 1.25 to 1.00 as of two (2) consecutive DSCR Test Dates, without cure in accordance with Section 13.5;

(h) **Reserves.** Failure by Borrower to make any deposit into any Reserve Account when required, or failure to replenish the Tenant Improvement and Leasing Commission Reserve Account within thirty (30) days after Lender’s written demand in accordance with Section 6.3, or failure to make any deposit into the Capital Replacement Reserve Account or the Tax and Insurance Escrow Account;

(i) **Single-Purpose Entity.** Breach of any covenant set forth in Article 14, including any failure to maintain an Independent Manager or any amendment to the Operating Agreement that eliminates or weakens any single-purpose entity, separateness or bankruptcy-remoteness provision;

(j) **Substantial Completion.** Failure by Borrower to achieve Substantial Completion of the renovation on or before the Substantial Completion Deadline, subject to Section 16.2(e);

(k) **Transfer Restrictions.** Any sale, transfer, encumbrance, pledge or other disposition of the Property or of any direct or indirect interest in Borrower in violation of Section 10.2, or any change of control of Borrower or of a Controlling Member without Lender’s prior written consent;

(l) **Land Use Restriction; Environmental.** Any failure by Borrower to comply with the LUR or with any covenant set forth in Article 12, including without limitation any use of the ground floor of Lot 7 for residential purposes, any penetration, removal or compromise of the vapor barrier beneath the Bay 1 floor slab without SCDHEC approval and Lender consent, any failure to conduct or deliver the vapor barrier inspections required by Section 12.2(c), or any modification, termination or vacation of the LUR without Lender’s consent;

(m) **Material Adverse Effect.** The occurrence of a Material Adverse Effect that, in Lender’s reasonable judgment, materially impairs the ability of Borrower to perform its obligations under the Loan Documents or of Guarantor to perform its obligations under the Guaranty, the Completion Guaranty or the Payment Guaranty;

(n) **Guaranty.** A default by Guarantor under the Guaranty, the Completion Guaranty, the Payment Guaranty or the Environmental Indemnity, or any attempt by Guarantor to revoke, terminate, disavow or limit its liability thereunder;

(o) **Abandonment.** The abandonment of the Property, the cessation of operations at the Property for more than thirty (30) consecutive days (other than as a result of a casualty or condemnation being diligently restored), or the removal from the Property of a material portion of the Collateral;

(p) **Other Loan Documents.** The occurrence of any other event or condition that constitutes an Event of Default under any other Loan Document; or

(q) **Invalidity.** Any Loan Document ceasing to be in full force and effect, or any party thereto asserting that any Loan Document is not a valid and binding obligation of such party, or any lien granted under this Mortgage ceasing to be a valid first-priority lien on the Property (subject only to the Permitted Exceptions).

16.2 Notice and Cure Periods

The following cure periods shall apply to the Events of Default described in Section 16.1:

(a) **Payment Defaults.** Five (5) Business Days after the date on which payment was due.

(b) **Non-Monetary Defaults.** Thirty (30) calendar days after written notice from Lender to Borrower of the default; provided, however, that if the default is of a nature that it cannot reasonably be cured within thirty (30) calendar days and Borrower has commenced and is diligently pursuing the cure thereof, the cure period shall be extended for an additional period not to exceed sixty (60) calendar days (for a total cure period not to exceed ninety (90) calendar days). No such notice or cure period shall apply to any default that consists of a failure to pay money or to any Event of Default described in Section 16.2(c), (d) or (e).

(c) **Single-Purpose Entity, Transfer and Bankruptcy Defaults.** No cure period. Any breach of the covenants set forth in Article 14 or Section 10.2, and any event described in Section 16.1(d), shall constitute an immediate Event of Default without notice or opportunity to cure.

(d) **Insurance Defaults.** Five (5) Business Days after written notice from Lender to Borrower; provided that if the applicable policy has lapsed, Lender may obtain such insurance in accordance with Section 11.6 without further notice and the cost thereof shall constitute an advance under Section 9.14.

(e) **Substantial Completion Defaults.** No cure period; provided, however, that Lender may, in its reasonable discretion and upon Borrower’s written request delivered before the Substantial Completion Deadline, extend the Substantial Completion Deadline by up to sixty (60) days in the aggregate on account of delays caused by events beyond Borrower’s reasonable control (including casualty, governmental delay in the issuance of permits or certificates of occupancy, and labor disputes) that are not caused by any act, omission or breach of Borrower, Guarantor or the Contractor.

16.3 Lender’s Right to Cure

Lender may, but shall have no obligation to, cure any default of Borrower under the Loan Documents. Any amounts expended by Lender in doing so shall constitute

advances under Section 9.14, shall bear interest at the Default Rate and shall be secured by this Mortgage. Lender’s exercise of this right shall not cure any Event of Default or waive any of Lender’s rights.

16.4 Notice of Default as to Tenants

Borrower acknowledges that Lender may, following the occurrence and during the continuance of an Event of Default, deliver the notices to tenants contemplated by Section 3.3, and that such notices shall be effective upon delivery in accordance with the applicable Lease and Section 21.1.

ARTICLE 17 — REMEDIES

17.1 Judicial Foreclosure; No Power of Sale

Upon the occurrence and during the continuance of an Event of Default, Lender may, in addition to all other rights and remedies available to it, foreclose this Mortgage in accordance with the laws of the State of South Carolina. Borrower acknowledges and agrees that the State of South Carolina is a judicial foreclosure jurisdiction and that this Mortgage does not, and shall not be construed to, grant Lender any power of sale, any right to sell the Property without judicial proceedings, or any other remedy not available to a mortgagee under the laws of the State of South Carolina. Any provision of this Mortgage that might be construed to grant a power of sale shall be deemed deleted and of no force or effect. Lender may also proceed to enforce the Note by an action at law for the indebtedness secured hereby, or may pursue any other remedy available to it, and may pursue such remedies concurrently or successively, in such order as Lender may elect, subject only to applicable law.

17.2 Receiver

Upon the occurrence and during the continuance of an Event of Default, Lender shall be entitled, without notice and without regard to the adequacy of any security for the Obligations, to the appointment of a receiver for the Property in any judicial proceeding to enforce this Mortgage, and Borrower consents to such appointment and agrees not to contest the same. Any receiver appointed shall have all powers and duties conferred by applicable law and by the order of appointment, including the power to manage the Property, collect the Rents, make repairs, and apply the net proceeds thereof as the court directs.

17.3 Remedies Under the UCC

Lender shall have all rights and remedies of a secured party under the UCC with respect to the Personal Property Collateral, including the rights set forth in Part 6 of Article 9 of the UCC, in addition to the rights and remedies provided in this Mortgage. Borrower agrees that ten (10) days’ prior written notice of the time and place of any public sale or of the time after which any private sale or other disposition is to be made shall be commercially reasonable, and that any disposition of the Personal Property Collateral may be conducted on the Property. Lender may require Borrower to assemble the Personal Property Collateral and make it available to Lender at a place reasonably convenient to Lender.

17.4 Collection of Rents Following Default

Upon the occurrence and during the continuance of an Event of Default, Lender may exercise all rights under Article 3, including the right to collect the Rents directly, to notify tenants, and to enforce the Leases, in each case without the necessity of obtaining a court order, appointing a receiver or taking any other action, and the license granted to Borrower under Section 3.2 shall be automatically revoked.

17.5 Entry and Performance

Upon the occurrence and during the continuance of an Event of Default, Lender may enter upon and take possession of the Property, without notice, to perform any obligation of Borrower under the Loan Documents, to protect or preserve the Collateral, to make repairs and to complete the renovation, and may exclude Borrower, its agents and employees from the Property to the extent necessary to do so. Borrower authorizes Lender to take such actions and shall cooperate fully.

17.6 Application of Proceeds

The proceeds of any foreclosure sale, any collection of Rents, any sale of Personal Property Collateral and any other amounts received by Lender after an Event of Default shall be applied in the order of priority set forth in Section 5.5, and any surplus shall be paid to Borrower or to such other Person as may be entitled thereto by law.

17.7 Deficiency

If the proceeds of any foreclosure sale and the application of all other Collateral are insufficient to pay the Obligations in full, Lender may seek a deficiency judgment against Borrower and, to the extent provided in Article 18, against Guarantor, in accordance with applicable law. Nothing in this Section 17.7 shall limit or impair the obligations of Guarantor under the Guaranty, the Completion Guaranty, the Payment Guaranty or the Environmental Indemnity.

17.8 Cumulative Remedies; No Waiver

No right or remedy of Lender under the Loan Documents or applicable law is exclusive of any other right or remedy, and each shall be cumulative and in addition to every other right and remedy. No failure or delay by Lender in exercising any right, power or remedy shall operate as a waiver thereof, and no single or partial exercise shall preclude any other or further exercise. Any waiver by Lender shall be effective only if in writing and only to the extent expressly stated therein.

17.9 Waiver of Certain Rights; Non-Waivable Rights

To the maximum extent permitted by applicable law, Borrower waives (a) any right to a marshalling of assets or a sale in inverse order of alienation, (b) any appraisal, valuation, stay, extension, homestead, exemption or moratorium law now or hereafter in force, (c) any right to require Lender to proceed against any other Person or any other security before proceeding against the Property or Borrower, and (d) any notice of the occurrence of an Event of Default, of acceleration, of

intent to foreclose, or of the time, place and terms of sale, except as expressly required by the Loan Documents or by applicable law that cannot be waived. Nothing in this Mortgage waives any right of Borrower or Guarantor that is non-waivable under applicable law, including any non-waivable statutory right or any right to notice required by applicable law.

17.10 Attorneys’ Fees and Enforcement Costs

Borrower shall pay all costs and expenses, including reasonable attorneys’ fees and disbursements, court costs, receiver’s fees, appraisal fees, title search and title insurance charges, publication costs and trustee or commissioner fees, incurred by Lender in connection with the enforcement of the Loan Documents, the foreclosure of this Mortgage, the collection of the Obligations, any workout, forbearance, bankruptcy or insolvency proceeding, or the protection or preservation of the Collateral. If Lender is made a party to any litigation or proceeding affecting the Property or the Loan, Borrower shall pay all costs and reasonable attorneys’ fees incurred by Lender in connection therewith. All such amounts shall be secured by this Mortgage and shall bear interest at the Default Rate from the date of demand.

17.11 No Impairment of Security

Lender’s acceptance of any payment after the due date, its failure to accelerate the Loan upon any Event of Default, its acceptance of a deed in lieu of foreclosure, its release of any portion of the Collateral, its modification of any Loan Document, its extension of the Maturity Date, or any other act or omission of Lender shall not release, impair or otherwise affect the lien of this Mortgage, the Assignment of Leases and Rents or the obligations of Borrower or Guarantor, except to the extent expressly provided in a written instrument executed by Lender.

ARTICLE 18 — NON-RECOURSE AND RECOURSE CARVE-OUTS

18.1 Non-Recourse Obligations

Except as expressly provided in this Article 18, in the Environmental Indemnity and in any other Loan Document, no Member, manager, officer, employee or Affiliate of Borrower shall have any personal liability for the payment or performance of the Obligations, and Lender’s recourse shall be limited to the Property and the other Collateral and to the obligations of Guarantor under the Guaranty, the Completion Guaranty and the Payment Guaranty. Borrower acknowledges that the Loan is structured as a non-recourse loan subject to the carve-outs set forth in Section 18.2, and that the Guaranty, the Completion Guaranty and the Payment Guaranty are separate obligations that are not limited by this Section 18.1.

18.2 Recourse Carve-Out Events

Notwithstanding Section 18.1, and in addition to all other obligations of Guarantor, the Obligations shall become fully recourse to Borrower and to Guarantor, jointly and severally, for the entire outstanding amount of the Obligations (and not merely the portion attributable to the loss or damage caused), upon the occurrence of any of the following (each, a “**Carve-Out Event**”):

(a) fraud or intentional misrepresentation by Borrower, Guarantor or any of their respective agents, officers, members or employees in connection with the Loan or any Loan Document, including without limitation any material misrepresentation in any rent roll, estoppel certificate, financial statement or certification delivered to Lender;

(b) the misapplication or misappropriation of (i) any Rents, including security deposits, (ii) any insurance proceeds or condemnation awards, (iii) any tenant improvement or leasing commission funds, or (iv) any Reserve Account funds, in each case by Borrower, Guarantor or any of their respective agents;

(c) the filing of a voluntary petition under the United States Bankruptcy Code or any state insolvency, reorganization, receivership or similar law by or on behalf of Borrower, or the consent by Borrower to the appointment of a receiver, trustee or custodian, or Borrower's admission in writing of its inability to pay its debts generally as they become due, or Borrower's making of an assignment for the benefit of creditors;

(d) environmental liability arising from the acts or omissions of Borrower, Guarantor or their respective agents, including without limitation any breach of Article 12, any violation of the LUR, any penetration, removal or compromise of the vapor barrier beneath the Bay 1 floor slab, or any failure to comply with an order of SCDHEC, in each case to the extent of all losses, liabilities, damages, costs and expenses (including reasonable attorneys' fees and consultants' fees) incurred by Lender as a result; and

(e) any violation of the transfer restrictions set forth in Section 10.2.

18.3 Relationship to Guaranties

The recourse provided under Section 18.2 is in addition to, and not in limitation of, (a) the obligations of Guarantor under the Guaranty (which shall be a full recourse guaranty of the Obligations to the extent provided therein), (b) the obligations of Guarantor under the Completion Guaranty and the Payment Guaranty, and (c) the obligations of Borrower and Guarantor under the Environmental Indemnity, which shall not be limited by this Article 18 in any respect. No exercise or non-exercise of rights under this Article 18 shall impair, limit or release any obligation under any guaranty or the Environmental Indemnity.

18.4 Recourse for Lender's Costs

Notwithstanding Section 18.1, Borrower shall in all events be personally liable for (a) all amounts payable under Section 17.10, (b) all advances made by Lender under Section 9.14, (c) all amounts owed with respect to any Reserve Account, and (d) all interest, late charges and other amounts accruing on the foregoing.

ARTICLE 19 — OTHER LOAN DOCUMENTS

19.1 Guaranty; Completion Guaranty; Payment Guaranty

Borrower acknowledges that Guarantor has executed and delivered to Lender (a) the Guaranty, (b) the Completion Guaranty, unconditionally guaranteeing the completion of the renovation described in Article 7 within the Renovation Budget and by the Substantial Completion Deadline, and (c) the Payment Guaranty, guaranteeing payment of any shortfall in debt service payments during the first fourteen (14) months following the Closing Date to the extent that Net Operating Income from the Property is insufficient to cover monthly interest payments during such period. Borrower shall cause Guarantor to perform all of its obligations under each such instrument.

19.2 Environmental Indemnity

Borrower and Guarantor have executed and delivered the Environmental Indemnity, which shall be an independent obligation and shall survive as provided in Section 12.4 and therein.

19.3 Financing Statements and Filings

Borrower shall, at its sole cost, execute and deliver (a) a UCC-1 financing statement naming Borrower, as debtor, and Lender, as secured party, to be filed with the South Carolina Secretary of State, covering all Personal Property Collateral, (b) a fixture filing to be recorded in the RMC Office, and (c) all continuation statements, amendments and additional filings necessary to maintain perfection. Borrower acknowledges that the description of collateral in such filings shall be consistent with the description in this Mortgage.

19.4 Operating Agreement Amendment; Members’ Consent

Borrower shall cause the Operating Agreement Amendment and the Members’ Consent to be executed and delivered to Lender on or before the Closing Date, and shall cause each Member to comply therewith at all times during the term of the Loan.

19.5 Cross-Default

Any Event of Default under this Mortgage shall constitute a default under the Note and each other Loan Document, and any default under the Note, the Guaranty, the Completion Guaranty, the Payment Guaranty or the Environmental Indemnity shall constitute an Event of Default under this Mortgage.

19.6 No Impairment of Guaranties

Lender may, without notice to or consent of Borrower or Guarantor and without impairing or releasing the obligations of Guarantor, (a) extend or renew the Loan or the Maturity Date, (b) modify, amend or supplement any Loan Document, (c) release or subordinate any Collateral, (d) grant any indulgence or forbearance, and (e) settle, compromise or release any claim against any Person. Borrower irrevocably consents to the foregoing to the maximum extent permitted by applicable law.

19.7 Conflicts Among Loan Documents

In the event of any conflict or inconsistency among the Loan Documents, (a) the Note shall control as to the principal amount of the Loan, the Interest Rate, the payment dates, the Maturity Date, the prepayment terms and other payment terms, (b) this Mortgage shall control as to the description and scope of the Collateral, the creation, perfection and enforcement of liens and security interests, and the rights and remedies of Lender with respect to the Property, and (c) the Environmental Indemnity shall control as to the allocation of environmental liability. In the event of any conflict between the Term Sheet and any Loan Document, the Loan Documents shall control, in accordance with Section 14.3 of the Term Sheet; provided that no Loan Document shall be deemed to amend or supersede the Term Sheet except as expressly set forth therein.

ARTICLE 20 — CONDITIONS PRECEDENT TO ADVANCES

20.1 Conditions to the Initial Advance

Lender’s obligation to make the initial advance of the Loan is subject to the satisfaction, in form and substance satisfactory to Lender and its counsel, of each of the following conditions precedent:

(a) execution and delivery of all Loan Documents, including the Note, this Mortgage, the Guaranty, the Completion Guaranty, the Payment Guaranty, the Environmental Indemnity and the UCC-1 financing statements;

(b) recording of the deed from Hampstead Village Holdings LLC to Borrower and of this Mortgage in the RMC Office, in form satisfactory to Lender and the title insurer, with the deed and this Mortgage to be recorded concurrently;

(c) receipt by Lender of the Title Policy (or a pro forma policy or irrevocable commitment to issue the Title Policy) from Commonwealth National Title Underwriters Inc. through Prestige Title & Settlement Services LLC (Commitment No. PT-2025-04-1178), in the amount of $14,750,000.00, insuring the first-priority lien of this Mortgage subject only to the Permitted Exceptions, together with such endorsements as Lender may reasonably require, including without limitation zoning, access, survey, comprehensive, future advance, contiguity (if available) and such endorsements as may be available with respect to the Anson Lane strip and the balcony encroachment;

(d) receipt by Lender of a current ALTA/NSPS Land Title Survey of the Property conforming to the 2021 Minimum Standard Detail Requirements, prepared by a surveyor licensed in the State of South Carolina, certified to Lender, the title insurer and Borrower, dated or re-certified not more than ninety (90) days prior to the Closing Date, and showing all improvements, encroachments, easements and rights-of-way described in Exhibit B;

(e) receipt by Lender of a gap indemnity and such owner's affidavits, lien waivers and other instruments as the title insurer may require to delete the standard exceptions from the Title Policy;

(f) receipt by Lender of the Phase I Report and evidence that Lender is an intended user thereof and that Borrower has obtained the reliance rights of an intended user;

(g) receipt by Lender of a satisfactory appraisal of the Property conforming to USPAP and the requirements of Title XI of FIRREA, supporting the as-is value of $18,200,000.00 and the as-stabilized value of $23,500,000.00, together with evidence of Lender's credit approval of the Loan and of any exception to Lender's underwriting guidelines approved by Lender's loan committee or board of directors;

(h) evidence of all insurance required by Article 11, with certificates and endorsements naming Lender as mortgagee, loss payee and/or additional insured, as applicable;

(i) delivery of Borrower's organizational documents, including its articles of organization, the Operating Agreement and certificates of good standing from the South Carolina Secretary of State (and each other jurisdiction in which Borrower is qualified to do business), together with the Operating Agreement Amendment executed by Borrower and all Members and the Members' Consent;

(j) delivery of legal opinions of Borrower's counsel, addressed to Lender, as to (i) the due organization, valid existence and good standing of Borrower, (ii) the due authorization and valid execution of the Loan Documents, (iii) the enforceability of the Loan Documents against Borrower, (iv) the absence of conflicts with Borrower's organizational documents, applicable law or any material agreement, and (v) the creation and perfection of Lender's lien on the Property and security interests in the Personal Property Collateral;

(k) payment by Borrower of the loan origination fee of $147,500.00, all closing costs, and all legal fees and expenses of Lender's counsel;

(l) receipt by Lender of estoppel certificates and executed SNDAs from all tenants in occupancy at the Property, in accordance with Section 3.5;

(m) delivery of a complete copy of the executed Construction Contract, together with all schedules, exhibits and amendments, and copies of all permits and approvals required for the commencement of the renovation;

(n) receipt by Lender of Borrower's equity contribution of $6,200,000.00, or satisfactory evidence of the funding thereof, on or prior to the Closing Date, together with a sources and uses statement for the Loan acceptable to Lender; and

(o) such other documents, certificates, instruments, agreements and conditions as Lender or its counsel may reasonably require.

20.2 Conditions to Each Advance of the Renovation Holdback

Lender's obligation to make any advance of the Renovation Holdback is subject to (a) the satisfaction of each condition set forth in Section 7.2, (b) the absence of any Event of Default or any event that, with notice or lapse of time or both, would constitute an Event of Default, (c) the continued accuracy in all material respects of Borrower's representations and warranties, (d) the continued validity and first priority of this Mortgage and the Title Policy (as supplemented by the then-current date-down endorsement), (e) Borrower's compliance with Section 7.9 with respect to any work affecting the Bay 1 floor slab, and (f) the absence of any mechanic's or materialmen's lien on the Property other than inchoate liens for work not yet due and payable.

20.3 Waiver Only in Writing

No condition precedent under this Article 20 may be waived except by a written instrument executed by Lender expressly identifying the condition waived and stating that it is waived. Lender's failure to insist upon strict satisfaction of any condition precedent shall not constitute a waiver of such condition with respect to any subsequent advance.

ARTICLE 21 — NOTICES

21.1 Notices

All notices, demands, requests, consents, approvals and other communications required or permitted under this Mortgage shall be in writing and shall be deemed duly given (a) when delivered by hand, (b) one (1) Business Day after deposit with a nationally recognized overnight courier, (c) three (3) Business Days after deposit in the United States mail, certified or registered, return receipt requested, postage prepaid, or (d) when sent by electronic mail (provided that any notice of default, acceleration, foreclosure or exercise of remedies shall also be sent by one of the methods described in clauses (a) through (c)), in each case addressed as follows:

If to Lender:

Calverley Heritage Bank, 412 Whitaker Street, Savannah, Georgia 31401, Attention: Marcus Prideaux, Senior Vice President — Commercial Real Estate Lending; Telephone: (912) 447-3218; Email: mprideaux@coastalheritagebank.com; with a copy to Fielding, Ashworth & Cole LLP, Charleston, South Carolina, Attention: Catherine A. Ashworth, Esq. (at the address designated in writing by Lender from time to time).

If to Borrower:

Palmetto Gateway Partners LLC, 88 Broad Street, Suite 200, Charleston, South Carolina 29401, Attention: Neil Ashford Graydon, Managing Member of Graydon Development Group LLC; with a copy to Cartwright & Lyons LLP (counsel to Borrower) at its address last designated in writing to Lender.

If to Guarantor:

Neil Ashford Graydon, 14 Church Street, Charleston, South Carolina 29401.

Any party may designate a different address by giving not less than ten (10) days' prior written notice to the other parties in accordance with this Section 21.1.

ARTICLE 22 — MISCELLANEOUS

22.1 Governing Law

This Mortgage shall be governed by and construed in accordance with the laws of the State of South Carolina, without regard to principles of conflicts of law that would require the application of the laws of another jurisdiction.

22.2 Consent to Jurisdiction; Venue

Borrower irrevocably submits to the jurisdiction of the courts of the State of South Carolina and the United States District Court for the District of South Carolina for the purpose of any action or proceeding arising out of or relating to this Mortgage or any other Loan Document, and agrees that venue for any such action or proceeding shall be in Charleston County, South Carolina. Borrower waives any objection to such venue and any claim of inconvenient forum.

22.3 Waiver of Jury Trial

TO THE MAXIMUM EXTENT PERMITTED BY APPLICABLE LAW, BORROWER AND LENDER EACH KNOWINGLY, VOLUNTARILY AND INTENTIONALLY WAIVE ANY RIGHT TO A TRIAL BY JURY IN ANY ACTION OR PROCEEDING ARISING OUT OF OR RELATING TO THIS MORTGAGE, THE OTHER LOAN DOCUMENTS OR THE LOAN.

22.4 Successors and Assigns

This Mortgage shall be binding upon and shall inure to the benefit of Borrower, Lender and their respective successors and permitted assigns. Borrower may not assign this Mortgage or any of its rights or obligations hereunder without Lender's prior written consent. Lender may, without the consent of Borrower, sell, assign, participate, pledge or otherwise transfer all or any portion of the Loan and this Mortgage, and Borrower agrees to cooperate with any such transfer, including by delivering such estoppel certificates, consents and opinions as Lender may reasonably request; provided that Lender shall remain liable for its obligations hereunder to the extent it has not transferred them.

22.5 No Waiver; Amendments

No amendment, modification, supplement or waiver of any provision of this Mortgage shall be effective unless set forth in a written instrument executed by Borrower and Lender. No waiver of any Event of Default shall extend to any subsequent or other Event of Default, and no course of dealing between the parties shall be deemed to modify this Mortgage.

22.6 Severability

If any provision of this Mortgage is held to be invalid, illegal or unenforceable in any respect, such provision shall be enforced to the maximum extent permitted by law and the remaining provisions shall continue in full force and effect.

22.7 Time of the Essence

Time is of the essence with respect to each obligation of Borrower under this Mortgage, including the Substantial Completion Deadline, each payment date, the Maturity Date and each prepayment notice period.

22.8 Entire Agreement

This Mortgage, together with the other Loan Documents, constitutes the entire agreement between Borrower and Lender with respect to the subject matter hereof and supersedes all prior agreements, understandings, negotiations and discussions, whether written or oral. Notwithstanding the foregoing, the Term Sheet shall remain in full force and effect to the extent provided therein, and nothing in this Mortgage shall be deemed to relieve Borrower of any obligation under the Term Sheet that is not also set forth in the Loan Documents.

22.9 Recording; Costs and Expenses; Recording Fees

Borrower shall pay all costs and expenses of recording this Mortgage and any amendments, supplements or releases hereof in the RMC Office, all South Carolina documentary stamp taxes and recording fees imposed on this Mortgage, and all title insurance premiums, survey costs, appraisal fees, environmental report fees, UCC filing and search fees, and construction inspection fees. Borrower acknowledges that the South Carolina recording fee applicable to this Mortgage is calculated at the rate of $3.70 per $1,000.00 of indebtedness secured (0.37%), and that on the principal amount of $14,750,000.00 such fee is $54,575.00, subject to confirmation by the closing agent. If any additional recording fee is payable as a result of any future advance, amendment or increase in the Obligations, Borrower shall pay such fee on demand. All amounts payable under this Section 22.9 shall be secured by this Mortgage.

22.10 Indemnification

Borrower shall indemnify, defend and hold harmless Lender from and against any and all losses, liabilities, claims, damages, penalties, fines, judgments, costs and expenses (including reasonable attorneys’ fees and consultants’ fees) arising out of or relating to (a) the Property or Lender’s interest therein, (b) any breach by Borrower of any Loan Document, (c) any claim of any tenant, contractor, subcontractor, architect, broker or other Person with respect to the Property or the renovation, (d) any mechanics’ or materialmen’s lien, (e) any Environmental Law or Hazardous Materials (subject to the Environmental Indemnity, which shall control as to environmental matters), and (f) any act or omission of Borrower, its agents, employees or contractors. This indemnity shall survive the repayment of the Loan, any foreclosure or deed in lieu thereof, and the release of this Mortgage.

22.11 Waiver of Subrogation

Borrower waives all rights of subrogation against Lender and all rights of contribution or indemnity against Lender arising out of or in connection with this Mortgage or the Property, including any right arising under any policy of insurance maintained by Borrower or any tenant.

22.12 Statements of Account; Estoppel Certificates

Within ten (10) Business Days after Lender’s written request, Borrower shall deliver to Lender a duly acknowledged written statement (a) setting forth the amount of the Obligations then outstanding, (b) stating whether any Event of Default exists and, if so, describing it, (c) stating the date of the Maturity Date, and (d) containing such other information as Lender may reasonably request. Borrower shall be conclusively bound by any such statement delivered by it and may not thereafter assert any inconsistent position.

22.13 Counterparts; Electronic Signatures

This Mortgage may be executed in one or more counterparts, each of which shall be deemed an original and all of which together shall constitute one and the same instrument. Delivery of an executed counterpart by facsimile, electronic mail (including PDF) or electronic signature platform shall have the same force and effect as delivery of an originally executed counterpart, provided that, for purposes of recording, an original executed and notarized counterpart shall be delivered to Lender and the closing agent.

22.14 Survival

The representations, warranties, covenants, indemnities and other obligations of Borrower under this Mortgage that by their nature are intended to survive shall survive the Closing Date, the repayment of the Loan, the release or reconveyance of this Mortgage, any foreclosure or deed in lieu of foreclosure, and any transfer of the Property.

22.15 No Partnership; No Fiduciary Duty

Nothing in this Mortgage shall be deemed to create a partnership, joint venture or fiduciary relationship between Borrower and Lender. Lender shall not have any fiduciary duty to Borrower, Guarantor or any Member, and Borrower acknowledges that Lender is acting solely as a creditor with respect to the Loan.

22.16 Lender’s Discretion; Reasonableness

Where this Mortgage provides that Lender may act in its discretion, Lender may exercise such discretion in its sole and absolute discretion unless the applicable provision expressly requires that Lender act reasonably (or provides that consent shall not be unreasonably withheld, conditioned or delayed), in which case Lender shall act in good faith and in a commercially reasonable manner.

22.17 Compliance with Law; USA PATRIOT Act

Borrower shall comply with all applicable anti-money laundering, sanctions, anti-corruption and economic sanctions laws, including the USA PATRIOT Act.

Borrower represents that neither Borrower nor any Member nor Guarantor is a Person with whom transactions are prohibited under any such law. Lender may require such documentation and certifications as it deems necessary to comply with its regulatory obligations.

22.18 Lender’s Regulatory Compliance

Borrower acknowledges that Lender is subject to supervision by state and federal banking regulators, and agrees to provide such information and take such actions as Lender may reasonably require to comply with applicable regulatory requirements, including without limitation requirements relating to flood insurance, appraisal and evaluation standards, and anti-money laundering.

22.19 Headings; Construction

The headings in this Mortgage are for convenience only and shall not affect its interpretation. This Mortgage has been negotiated between Borrower and Lender, each represented by counsel, and shall not be construed against either party as the drafter. References to any gender include all genders, and references to “including” mean “including without limitation.”

ARTICLE 23 — MEMBERS’ CONSENT; GUARANTOR’S ACKNOWLEDGMENT

23.1 Members’ Consent

Each of the undersigned Members of Borrower (a) acknowledges that it has received and reviewed a copy of this Mortgage, (b) consents to the execution and delivery of this Mortgage by Borrower and to the performance by Borrower of its obligations hereunder, (c) agrees that, without Lender’s prior written consent, it shall not cause or permit Borrower to take any action prohibited by Article 14, Section 10.2 or Section 10.4, and shall not vote for, consent to or approve any bankruptcy filing, dissolution, liquidation, merger, consolidation, sale of all or substantially all of the assets of Borrower, or amendment of the Operating Agreement that would violate Article 14, (d) agrees, in the case of Graydon Development Group LLC, that it shall not transfer any direct or indirect interest in Borrower except in compliance with Section 10.2, and (e) acknowledges that Lender is relying on this consent in making the Loan.

23.2 Guarantor’s Acknowledgment

Guarantor acknowledges that he has received and reviewed a copy of this Mortgage, consents to its terms (including Article 18), and acknowledges that his obligations under the Guaranty, the Completion Guaranty, the Payment Guaranty and the Environmental Indemnity are independent of, and shall not be released, impaired or otherwise affected by, the execution, delivery, performance, modification, foreclosure or release of this Mortgage or by any act or omission of Lender with respect to the Property.

IN WITNESS WHEREOF, Borrower has caused this Mortgage and Security Agreement to be executed under seal as of the Closing Date.

BORROWER:

PALMETTO GATEWAY PARTNERS LLC, a South Carolina limited liability company

By: Graydon Development Group LLC, its Managing Member

By: _____

Name: Neil Ashford Graydon

Title: Sole Member and Manager of Graydon Development Group LLC

Date: _____

[SOUTH CAROLINA NOTARIAL ACKNOWLEDGMENT]

STATE OF SOUTH CAROLINA

COUNTY OF CHARLESTON

I, _____, a Notary Public for South Carolina, do hereby certify that Neil Ashford Graydon, as Sole Member and Manager of Graydon Development Group LLC, the Managing Member of Palmetto Gateway Partners LLC, personally appeared before me this day and acknowledged the due execution of the foregoing instrument on behalf of the said limited liability company, and that he is duly authorized to execute the same.

WITNESS my hand and official seal this ____ day of _____, 2025.

_____

Notary Public for South Carolina

My Commission Expires: _____

Witness: _____ Witness: _____

CONSENTED AND AGREED:

GRAYDON DEVELOPMENT GROUP LLC, a South Carolina limited liability company

By: _____

Name: Neil Ashford Graydon

Title: Sole Member and Manager

TIDEWATER OPPORTUNITY FUND II LP, a Delaware limited partnership

By: Tidewater GP Holdings LLC, its General Partner

By: _____

Name: _____

Title: Authorized Signatory

HARBORLINE CAPITAL ADVISORS LLC, a Delaware limited liability company

By: _____

Name: _____

Title: Managing Member

GUARANTOR’S ACKNOWLEDGMENT:

_____

NEIL ASHFORD GRAYDON, individually

Date: _____

EXHIBIT A — LEGAL DESCRIPTION OF THE PROPERTY

PARCEL ONE (Lots 7, 8 and 9):

ALL that certain piece, parcel or lot of land, together with the improvements thereon, situate, lying and being in the City of Charleston, County of Charleston, State of South Carolina, being shown and designated as Lots 7, 8 and 9 of the Hampstead Village Plat, as recorded in Plat Book 41 at Page 218, in the Office of the Register of Mesne Conveyances for Charleston County, South Carolina, and having such shapes, metes, bounds and measurements as shown on said plat, reference to which is hereby made for a more complete and accurate description thereof.

Being commonly known as 520–534 King Street, Charleston, South Carolina 29403.

Tax Map Nos.: 460-12-04-007 (Lot 7), 460-12-04-008 (Lot 8) and 460-12-04-009 (Lot 9).

PARCEL TWO (vacated Anson Lane strip):

TOGETHER WITH that certain strip or parcel of land formerly constituting a portion of Anson Lane, a public street, vacated and closed by the City of Charleston pursuant to Ordinance No. 2019-084, and conveyed to the predecessor in title by that certain Quitclaim Deed recorded in Deed Book 1128 at Page 443, in the Office of the Register of Mesne Conveyances for Charleston County, South Carolina, said strip being adjacent to and contiguous with Lot 7 of the Hampstead Village Plat, as more particularly described and shown on the plat prepared by Cartwright Land Surveying LLC dated January 15, 2025, recorded in Plat Book 64 at Page 91, in the Office of the Register of Mesne Conveyances for Charleston County, South Carolina.

DRAFTING NOTE (to be resolved prior to recording): The description above is the record description set forth in Schedule A of Title Commitment No. PT-2025-04-1178. The metes and bounds description to be prepared by Cartwright Land

Surveying LLC and certified on the ALTA/NSPS Land Title Survey (Plat Book 64 at Page 91) is [TO BE INSERTED] and, upon delivery, shall replace this description for all purposes of this Mortgage. See Section 4.5 and the accompanying issues memorandum.

EXHIBIT B — PERMITTED EXCEPTIONS

The following matters, being the exceptions set forth in Schedule B, Part II of the Title Commitment, are approved by Lender as Permitted Exceptions as of the Closing Date:

1. **Real property taxes for the year 2025 and subsequent years** on Tax Map Nos. 460-12-04-007, 460-12-04-008 and 460-12-04-009, County of Charleston, State of South Carolina, not yet due and payable (Exception 2).

2. **Utility easement in favor of South Carolina Electric & Gas** for the installation, maintenance, repair and replacement of underground utility lines, recorded in Deed Book 987 at Page 112, in the RMC Office, affecting the westerly boundary of Lot 9 as shown on the Hampstead Village Plat (Exception 3).

3. **SCDHEC Land Use Restriction (CREC — Lot 7):** Land use restriction and institutional control recorded in Deed Book 1203 at Page 89, in the RMC Office, imposed by SCDHEC (Site ID SC-29403-0772) in connection with the "No Further Action" determination dated August 12, 2021, which (a) prohibits the use of the ground floor of Lot 7 (Tax Map No. 460-12-04-007) for residential purposes, and (b) requires the maintenance and periodic inspection of a vapor barrier beneath the slab of the ground-floor commercial space on Lot 7 (Bay 1, 520 King Street). See Article 12 (Exception 4).

4. **Balcony encroachment over the King Street right-of-way:** Encroachment of a decorative iron balcony extending approximately two and one-half (2.5) feet beyond the front façade of the building over and across the King Street public right-of-way, as shown on the ALTA/NSPS Land Title Survey prepared by Cartwright Land Surveying LLC dated January 15, 2025 (Exception 5). Lender's approval is without prejudice to Borrower's obligations under Section 4.4.

5. **Rights of tenants in possession** under the Leases described in Exhibit D, as tenants only, without any option to purchase or right of first refusal to purchase the Land or any portion thereof, subject to the matters disclosed in Exhibit D (Exception 6).

6. **Matters shown on the plat recorded in Plat Book 41 at Page 218,** in the RMC Office, including setback lines, rights-of-way, drainage easements and notations thereon (Exception 7).

The standard printed exceptions (Schedule B, Part II, Exception 1(a)–(e)) are not approved as Permitted Exceptions and shall be removed from the Title Policy by

survey, affidavit, gap indemnity, lien waiver or endorsement as provided in Section 20.1(e). This Exhibit B may be amended only by a written instrument executed by Lender.

EXHIBIT C — RENOVATION BUDGET AND FUNDING ALLOCATION

Line Item	Description	Total Budget	Lender Holdback	Borrower Equity
1.0	HVAC Replacement (Contractor; hard cost)	$1,200,000	$850,000	$350,000
2.0	Elevator Modernization (Contractor; hard cost)	$475,000	$375,000	$100,000
3.0	Façade Restoration, including balcony ironwork (Contractor; hard cost)	$625,000	$425,000	$200,000
4.0	Tenant Improvement Allowances (Bay 2 and 2nd Floor Suite B)	$550,000	$450,000	$100,000
5.0	Soft Costs and Contingency (outside the Construction Contract)	$300,000	$150,000	$150,000
	Total Renovation Budget	**$3,150,000**	**$2,250,000**	**$900,000**

Contract reference: Construction Contract with Beaufort Builders Group LLC (SC General Contractor License No. SC-GC-47921) — hard costs $2,850,000 (Line Items 1.0 through 4.0); soft costs and contingency of $300,000 (Line Item 5.0) are outside the scope of the Construction Contract.

Notes: (1) The Renovation Holdback ($2,250,000) is $600,000 less than the Construction Contract sum ($2,850,000); Borrower shall fund the difference and all other renovation costs not funded by the Renovation Holdback from Borrower's equity contribution of $900,000. (2) Lender shall retain ten percent (10%) of each disbursement as retainage in accordance with Section 7.3. (3) Tenant improvement costs shall be funded first from the Tenant Improvement and Leasing Commission Reserve Account in accordance with Section 6.3(d). (4) The detailed draw schedule delivered to Lender on the Closing Date [to be attached as Schedule C-1] is for cash-flow planning purposes only; it does not amend, limit or waive any condition in Article 7 or Article 20. Any inconsistency between such draw schedule and this Exhibit C shall be resolved in favor of this Exhibit C.

EXHIBIT D — SCHEDULE OF EXISTING LEASES (RENT ROLL AS OF THE CLOSING DATE)

Unit	SF	Tenant	Lease Type	Base Rent ($/SF)	Annual Base Rent	Lease Expiration	Security Deposit
Bay 1 (ground floor retail)	3,800	Lowcountry Provisions Inc.	NNN	$28.50	$108,300	December 31, 2027	$18,050
Bay 2 (ground floor retail)	3,800	**VACANT** (subject to Harmon & Wren right of first refusal)	—	—	—	—	—

Unit	SF	Tenant	Lease Type	Base Rent ($/SF)	Annual Base Rent	Lease Expiration	Security Deposit
Bay 3 (ground floor retail)	3,800	Harmon & Wren Design Studio LLC	Modified Gross	$24.00	$91,200	June 30, 2026	$15,200
2nd Floor Suite A (office)	9,800	Tidemark Consulting Group LLC	NNN	$22.00	$215,600	March 31, 2029	$35,933
2nd Floor Suite B (office)	9,800	**VACANT**	—	—	—	—	—
Total	**31,000**				**$415,100**		**$69,183**

Lease provisions material to the Loan (as disclosed in the lease abstracts delivered to Lender):

1. **Lowcountry Provisions Inc. (Bay 1):** NNN lease, lease date December 15, 2022, commencement January 1, 2023; 3% annual escalation effective each January 1 beginning January 1, 2025; one (1) five-year renewal option (notice deadline March 31, 2027); exclusive use as specialty grocery/gourmet provisions within the Property; **no assignment or subletting provision, no estoppel obligation and no SNDA provision**. Subject to Section 3.5 (estoppel and SNDA required at closing; post-closing lease amendment covenant).

2. **Harmon & Wren Design Studio LLC (Bay 3):** Modified gross lease, commencement July 1, 2021 (term extended by First Amendment dated September 1, 2023); 2.5% annual escalation effective each July 1; one (1) three-year renewal option at 95% of fair market value (notice deadline December 31, 2025); **right of first refusal on Bay 2** (15 business days to accept or decline; survives renewal); assignment requires Landlord’s consent not unreasonably withheld; subletting of up to 50% of the premises with 30 days’ notice; early termination right effective June 30, 2025 (notice deadline December 31, 2024 has passed without exercise per the lease abstracts).

3. **Tidemark Consulting Group LLC (Suite A):** NNN lease, lease date March 15, 2024, commencement April 1, 2024; 2.5% annual escalation effective each April 1 beginning April 1, 2026; two (2) three-year renewal options (12 months’ notice); assignment requires Landlord’s consent in its sole discretion; subletting requires consent not unreasonably withheld; tenant agrees to execute an SNDA upon Landlord’s request.

Certified rent roll: The rent roll certified by Borrower and delivered to Lender on the Closing Date [to be attached as Schedule D-1] shall control in the event of any discrepancy with the summary table above. Borrower’s representations in Section 8.4 relate to such certified rent roll.

EXHIBIT E — LAND USE RESTRICTION AND INSTITUTIONAL CONTROLS

Recorded instrument: Land use restriction and institutional control recorded in Deed Book 1203 at Page 89, in the Office of the Register of Mesne Conveyances for Charleston County, South Carolina.

Regulatory authority: South Carolina Department of Health and Environmental Control, Site ID SC-29403-0772.

Basis: "No Further Action" determination dated August 12, 2021 relating to the remediation of contamination originating at the adjoining property known as 518 King Street, Charleston, South Carolina (former King Street Cleaners dry cleaning operation, approximately 1968–2005), which migrated to the southwest corner of Lot 7 (Tax Map No. 460-12-04-007).

Contaminants of concern: Perchloroethylene (PCE/tetrachloroethylene) and petroleum-based solvents, and their degradation products, in subsurface soil and shallow groundwater, with potential for vapor intrusion.

Restrictions and obligations:

(a) The ground floor of Lot 7 (Bay 1, approximately 3,800 square feet, 520 King Street) shall not be converted to or used for residential purposes.

(b) The vapor barrier system installed beneath the concrete floor slab of Bay 1 shall be maintained in good condition and working order; the vapor barrier shall not be penetrated, removed or compromised without prior written approval of SCDHEC; and any renovation, construction, demolition or alteration affecting the Bay 1 floor slab must include inspection and, if necessary, repair or replacement of the vapor barrier, with prior written notification to SCDHEC.

(c) The LUR runs with the land, is binding on all current and future owners, tenants, lessees, successors and assigns, and is enforceable by SCDHEC.

Documentation to be maintained at the Property and delivered to Lender upon request: the recorded LUR; the SCDHEC NFA letter dated August 12, 2021 and all attachments and conditions; vapor barrier installation records and as-built drawings; all vapor barrier inspection, maintenance and repair records; and all correspondence with SCDHEC.

Reference: Phase I Environmental Site Assessment Report No. CLR-2025-0119 dated January 28, 2025 (Clearfield Environmental Consulting LLC), Sections 5 and 6.

[End of Mortgage and Security Agreement]